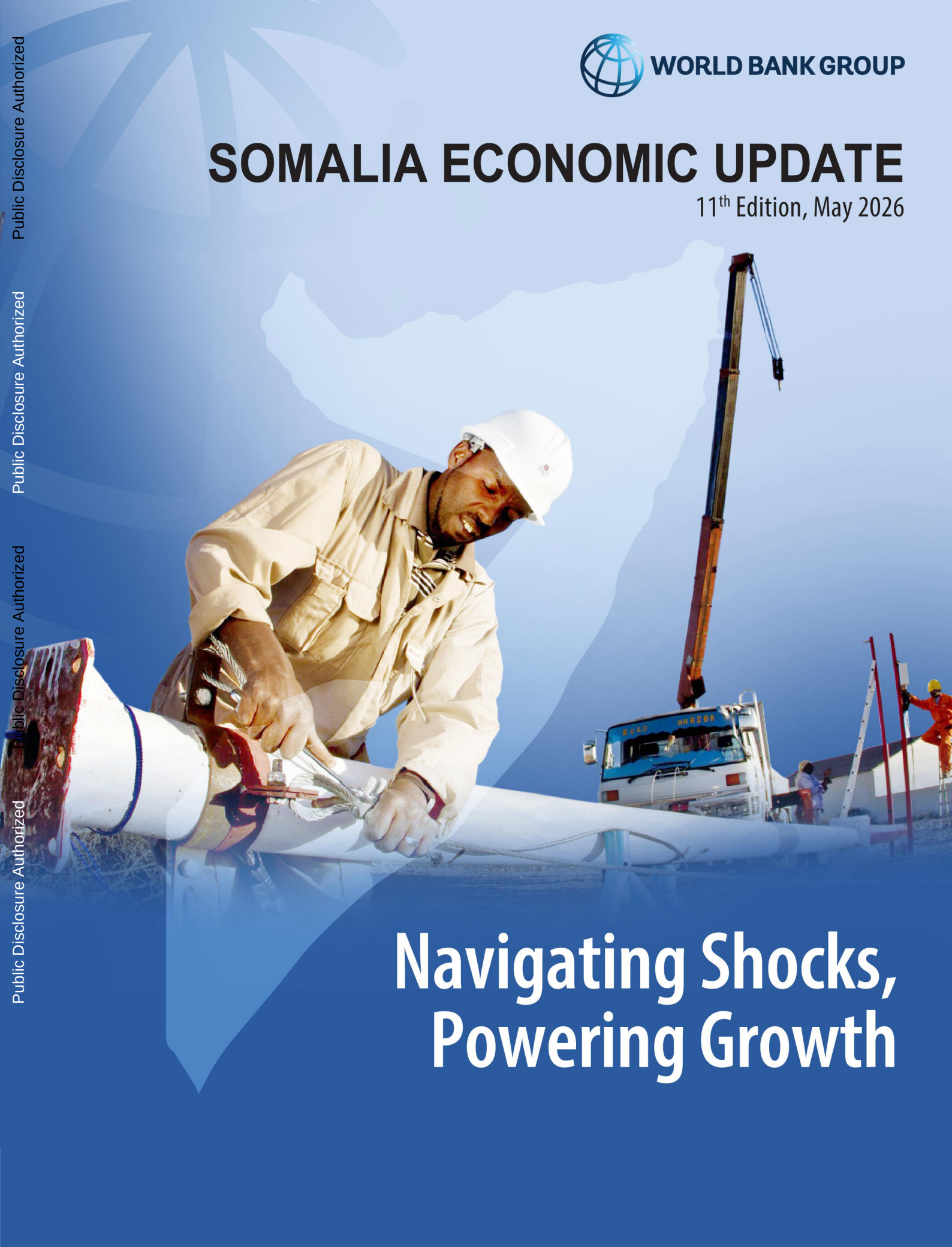




WORLD BANK GROUP

SOMALIA ECONOMIC UPDATE

11th Edition, May 2026



Navigating Shocks, Powering Growth

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ACRONYMS

AML/CFT	Anti–Money Laundering and Countering the Financing of Terrorism
CBS	Central Bank of Somalia
CIF	Cost, Insurance, and Freight
EA	Enumeration Area
EAC	East African Community
EMDEs	Emerging Market and Developing Economies
ESI	Electricity Supply Industry
ESP	Electricity Service Provider
FGS	Federal Government of Somalia
FMS	Federal Member State
FOB	Free on Board
GDP	Gross Domestic Product
GHG	Greenhouse Gas
HIPC	Heavily Indebted Poor Countries
IDP	Internally Displaced Person
IEA	International Energy Agency
IMF	International Monetary Fund
IPC	Integrated Food Security Phase Classification
IRENA	International Renewable Energy Agency
LSMS	Living Standards Measurement Study
MoEWR	Ministry of Energy and Water Resources
MTF	Multi-Tier Framework
MW	Megawatt
NGO	Non-governmental Organization
NEA	National Electricity Authority
PIM	Public Investment Management
PV	Photovoltaic
SHDS	Somalia Health and Demographic Survey
SHS	Solar Home System
SLS	Solar Light System
SME	Small and Medium Enterprise
SNBS	Somali National Bureau of Statistics
SOMCAS	Somali Customs Information System
SSA	Sub-Saharan Africa
WDI	World Development Indicators

FOREWORD

Somalia has made meaningful progress in strengthening economic management and advancing key structural reforms, including in the electricity sector, despite operating in an environment marked by declining external support, repeated climate shocks, and persistent security challenges. This edition of the *Somalia Economic Update - Navigating Shocks, Powering Growth*, assesses recent developments and highlights priority actions to sustain macroeconomic stability, reduce vulnerability to external and climate shocks, and unlock growth through more reliable, affordable, and sustainable energy.

On the macroeconomic front, Somalia's attainment of the HIPC Completion Point in December 2023 has marked a turning point, restoring fiscal space, improving debt sustainability, and strengthening macroeconomic credibility. These gains have been underpinned by continued reforms in public financial management, domestic revenue mobilization, and financial sector oversight. Notably, macroeconomic stability has been maintained despite overlapping shocks, reflecting prudent economic management amid heightened climate and external risks.

Recent global oil price shocks and supply disruptions have further underscored Somalia's vulnerability to external shocks. As a highly import-dependent economy with near universal reliance on diesel-based electricity generation, global fuel price increases transmit rapidly to domestic inflation, production costs, and household welfare. Higher fuel prices raise the cost of electricity, transport, and food, weakening firms' competitiveness and disproportionately affecting poor and vulnerable households.

Against this backdrop, electricity sector reform has taken on heightened strategic importance. The report documents progress in strengthening the sector's institutional and regulatory foundations, including the enactment of the Electricity Act, the establishment of the National Electricity Authority, and the rollout of licensing and tariff regulations. These steps are beginning to reduce fragmentation, improve oversight, and create a more predictable environment for investment. At the same time, growing deployment of solar and hybrid systems signals early movement toward reducing reliance on imported diesel for power generation.

Electricity sector reforms are therefore central not only to improving access, affordability, and reliability, but also to strengthening macroeconomic and climate resilience. By enabling a gradual shift toward least-cost renewable generation and more efficient systems, these reforms can reduce exposure to global fuel price shocks, lower economy wide production costs, and limit the transmission of external volatility to inflation and poverty. Over time, reduced dependence on fuel based generation will support energy security, ease balance of payments pressures, and reinforce fiscal and macroeconomic resilience.

The World Bank Group will continue to support Somalia in consolidating recent gains, advancing priority reforms, and translating improved macroeconomic and sectoral foundations into durable improvements in livelihoods.

Hideki Matsunaga
World Bank Group,
Country Manager for Somalia

HORDHAC

Soomaaliya waxay horumar muhiim ah ka samaysay xoojinta maareynta dhaqaalaha iyo horumarinta qaab-dhismeedka aasaasiga ah, oo ay ku jiraan qaybta korontada, in kastoo ay ka shaqeyso jawi lagu sheegay in hoos u dhaw ku yimid taageerada dibadda, isbeddelada cimilada ee soo noqnoqda, iyo caqabado amni oo joogto ah. Daabacaaddan *lagaga hadlayo Dhaqaalaha Soomaaliya, Shoogga Socodka, Kobaca Awoodda leh*, waxay qiimeyneysaa horumaradii ugu dambeeyay waxayna muujinaysaa tallaabooyinka mudnaanta leh ee lagu ilaalinayo xasilloonida dhaqaalaha guud, yareynta nuglaanshaha shoogaga dibadda iyo cimilada, iyo furitaanka kobaca iyadoo la adeegsanayo tamar la isku halayn karo, la awoodi karo, oo waarta.

Dhinaca dhaqaalaha guud, gaaritaanka Soomaaliya Dhibcaha Deyn Cafintii Diseembar 2023 waxay calaamad u ahayd isbeddel, taasoo soo celisay booska maaliyadda, hagaajisay joogtaynta deymaha, iyo xoojinta kalsoonida dhaqaalaha guud. Guulahan waxaa saldhig u ahaa dib-u-habaynta joogto ah oo lagu sameeyay maamulka maaliyadda dadweynaha, dhaqdhaqaaqa dakhliga gudaha, iyo kormeerka qaybaha maaliyadda. Si gaar ah, xasilloonida dhaqaalaha guud ayaa la ilaaliyay in kastoo ay jiraan shoogyo is daba joog ah, taasoo muujinaysa maareyn dhaqaale oo taxaddar leh iyadoo ay jirto khatarta cimilada iyo tan dibadda oo sii xoogaysatay.

Dhacdooyinkii ugu dambeeyay ee qiimaha saliidda adduunka iyo carqaladaha saadka ayaa sii xoojiyay u nuglaanta Soomaaliya isbeddelka shoogaga dibada. Maadaama ay tahay dhaqaale aad ugu tiirsan alaabaha la soo dhoofiyo oo ku tiirsan koronto ku salaysan diesel, kororka qiimaha shidaalka caalamka si degdeg ah ayuu ugu gudbaa sicir-bararka gudaha, kharashka wax-soo-saarka, iyo daryeelka guryaha. Qiimaha shidaalka oo sare u kacay ayaa kor u qaada qiimaha korontada, gaadiidka, iyo cuntada, taasoo daciifisay tartanka shirkadaha isla markaana si aan sinnayn u saameeyay qoysaska saboolka ah iyo kuwa nugul.

Iyadoo laga duulayo xaaladdan, dib-u-habaynta qaybta korontada ayaa heshay muhiimad istiraatiiji oo sareysa. Warbixintu waxay diiwaangelisaa horumarka xoojinta aasaaska hay'adaha iyo xeerarka ee qaybta, oo ay ku jiraan ansixinta Xeerka Korontada, aasaaska Hay'adda Korontada Qaranka, iyo hirgelinta xeerarka ruqsad-siinta iyo qiimaha. Tallaabooyinkan waxay bilaabaya inay yareeyaan kala qaybsanaanta, horumarinta kormeerka, iyo abuurista deegaan la saadaalin karo oo maalgashi ah. Isla waqtigaas, korodhka isticmaalka nidaamyada soolarka iyo mida shidaalka iyo korontada isku dhafan ayaa muujinaya dhaqdhaqaaq hore oo lagu wajahayo dhimista ku tiirsanaanta diesel-ka la soo dhoofiyo si loo isticmaalo soo saarista tamarta.

Dib-u-habaynta qaybta korontada waa muhiim ma aha oo kaliya hagaajinta helitaanka, qiimaynta, iyo kalsoonida, balse sidoo kale xoojinta dhaqaalaha iyo adkeysiga cimilada. Iyada oo la suurtagelinayo in si tartiib tartiib ah loogu beddelo jihada la cusboonaysiin karo ee qiimaha jaban iyo nidaamyo waxtar leh, isbeddeladan waxay yareyn karaan saameynta qiimaha shidaalka caalamka, hoos u dhigi karaan kharashka wax-soo-saarka guud ee dhaqaalaha, isla markaana waxay xaddidi karaan gudbinta isbeddelka dibadda ee sicir-bararka iyo saboolnimada. Waqti ka dib, dhimista ku tiirsanaanta wax soo saarista shidaalka waxay taageeri doontaa amniga tamarta, yareyn doontaa cadaadiska dheelitirka lacagaha, waxayna xoojin doontaa adkeysiga maaliyadeed iyo dhaqaalaha guud ee sanadlaha ah.

Bangiga Adduunka wuxuu sii wadi doonaa taageerada Soomaaliya si loo xoojiyo guulihii ugu dambeeyay, horumarinta dib-u-habaynta mudnaanta leh, iyo beddelidda aasaaska dhaqaalaha guud iyo kuwa qaybaha la hagaajiyay si loogu sameeyo horumar waara nolosha.

Hideki Matsunaga

Maareeyaha Dalka, Bangiga Adduunka Soomaaliya

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EXECUTIVE SUMMARY

Somalia's economy demonstrated notable resilience entering 2025, supported by continuous reform efforts to strengthen fiscal sustainability, institutions, and private sector resilience. Low debt levels following HIPC Completion, tax policy changes, and reforms to improve payments system, expand financial sector supervision and anti-money laundering, contributed to better macroeconomic management. Structural reforms in fisheries, telecommunications, and electricity, as well as ongoing harmonization of legal and institutional framework with East African Community (EAC) will improve private sector resilience despite a challenging external environment. These positive foundations underscore Somalia's progress in strengthening macroeconomic credibility, even as vulnerabilities remain.

However, Somalia's economic resilience was tested as a combination of shocks materialized over the course of 2025. The withdrawal of humanitarian and security-related assistance reduced aggregate demand, while adverse weather conditions disrupted agricultural and livestock production. Growth remained largely consumption-driven but slowed to 3 percent in 2025 from 4 percent in 2023 and 2024, resulting in broadly stagnant real GDP per capita. Investment activity proved relatively more resilient—supported by remittances and urban expansion—but export performance softened, reflecting Somalia's narrow and climate-sensitive export base. Structural constraints, including high electricity and transport costs, limited access to finance, and internal fragmentation, continued to impede industrial development and private sector expansion. Inflationary pressures accelerated reaching 3.7 percent in 2025 compared to 3.3 percent in 2024, driven mainly by food, utilities, and transport costs, although widespread dollarization helped contain broader price instability. The reduction in aid also had significant social consequences, with food insecurity increasing and poverty reduction stalling.

Lower official grants and weaker exports widened external imbalances, and reinforced Somalia's structural current account deficit. The current account deficit widened to 9.6 percent of GDP in 2025 from 9.3 percent of GDP in 2024. Remittances continued to play a critical stabilizing role, providing an important buffer for household incomes and foreign exchange inflows, and partially offsetting the decline in aid. Despite this resilience, the external position remains highly vulnerable to shocks, reflecting Somalia's narrow export base and heavy reliance on imports of food, fuel, and consumer goods.

On the fiscal front, reduced grants, and softer domestic demand constrained revenue performance, while spending pressures, particularly for security and intergovernmental transfers intensified. As a result, the fiscal balance shifted to a deficit of 0.4 percent of GDP in 2025, from a surplus of 0.1 percent in 2024. Nonetheless, fiscal management remained broadly prudent, supported by continued public financial management reforms and the fiscal space created by debt relief. Maintaining fiscal discipline amid declining external support will be critical to safeguarding macroeconomic stability and protecting priority spending.

Outlook and risks. The near- to medium-term outlook has weakened relative to earlier expectations with recent global oil price surge adding another shock to Somalia's economy. Economic growth is projected to remain modest at 2.8 percent in 2026 and pick up to 3.1 percent in 2027, constrained by continued aid reductions, climate variability, global price shocks due to the conflict in the Middle East, and limited productive capacity. Inflation is projected to rise to 6.0 percent in 2026 from 3.7 percent in 2025, reflecting global commodity price volatility, especially Somalia's reliance on imported food and fuel, and domestic supply disruptions linked to climate and security conditions. Poverty reduction is expected to be gradual, with food insecurity remaining extremely sensitive to rainfall outcomes, aid flows, and price shocks.

Global price shocks associated with the conflict in the Middle East are heightening Somalia's external vulnerability through multiple transmission channels. As a highly import-dependent economy, Somalia is exposed first through the trade and price pass through channel. Higher global energy and food prices are rapidly translating into higher domestic fuel, transport, electricity, and food costs, fueling inflation while weighing on port activity and customs revenues. The remittance channel reflects Somalia's reliance on employment opportunities in GCC countries, where weaker economic conditions could slow remittance inflows and reduce household consumption. At the same time, heightened uncertainty is likely to dampen foreign and diaspora investment weakening capital formation and medium term growth prospects, while the combined effects increase fiscal pressures by compressing revenues and raising spending needs.

Risks to the outlook are predominantly on the downside. A deeper or more prolonged decline in foreign aid could further compress consumption, strain fiscal execution, and heighten humanitarian needs. Climate shocks, including droughts and floods, continue to threaten rural livelihoods and food prices, while security setbacks could disrupt trade corridors and deter investment. Prolonged global oil disruptions, geopolitical tensions, or changes affecting remittance channels—could further weaken external balances. Political and intergovernmental coordination challenges also pose risks to timely reform implementation.

Navigating shocks will require accelerating reforms that support growth and job creation and stepping up efforts to mobilize domestic revenues. Addressing Somalia's deep-seated development challenges requires continued improvements in economic regulation and institutions, reducing regional fragmentation, and more affordable electricity. Consistent reform implementation, stronger coordination across levels of government, and increasingly constrained external support will be essential to sustain growth and create jobs. These

reforms will also ensure the ability of the economy to better withstand mounting climate and external shocks. At the same time, enhancing domestic revenue mobilization is critical to expand fiscal space, safeguard fiscal sustainability, and enable the government to deliver more and better basic services. In this context, it is particularly important to reduce reliance on volatile external grants while foreign aid is declining. Improved domestic revenue mobilization requires broadening the tax base, modernizing tax and customs administration, and improving harmonization across federal and state levels (World Bank, 2025a). Sustaining public financial management and debt management reforms remains essential to preserving macroeconomic stability and ensuring efficient use of limited resources.

Recent global oil price shocks and the deterioration in the outlook reinforce the urgency of reducing costs for households and firms and transitioning to more sustainable electricity generation. Lowering electricity costs would also deliver macroeconomic benefits, including reducing exposure to global commodity price volatility, easing inflationary pressures, and strengthening household purchasing power and firm competitiveness. Somalia's electricity sector remains a binding constraint to growth and private sector development, characterized by fragmentation, high costs, vulnerability to commodity price volatility, and limited regulation. Electricity supply is dominated by small, privately operated systems that rely heavily on imported diesel generation, resulting in some of the highest tariffs globally and significant variability in service quality across locations. Weak sector governance, limited economies of scale, and insufficient transmission and distribution infrastructure constrain efficiency gains and hinder the integration of lower-cost generation sources. These structural weaknesses raise production costs economy-wide, disproportionately affect small firms and households, and limit the scope for industrial activity and job creation.

Despite progress in expanding coverage in major urban centers, access to electricity remains uneven and reliability challenges persist. The 2025 Multi-Tier Framework (MTF) survey indicates 71 percent of households report some form of electricity access, yet only 21 percent of electrified households receive more than eight hours of supply per day. Urban areas have seen gradual improvements in connections driven by private investment and population growth, while access in rural and peri-urban areas remains limited. Firms consistently identify electricity cost and reliability as major operational constraints, with frequent outages and voltage fluctuations requiring costly self-generation and backup solutions. For households, high tariffs constrain consumption and welfare, while limited access exacerbates spatial inequalities and undermines service delivery, particularly in health, education, and water services.

Addressing these challenges requires a coordinated reform agenda focused on lowering costs, improving reliability, reducing vulnerability, and expanding access. Priority actions include (1) strengthening the regulatory and institutional framework to reduce fragmentation and improve oversight; (2) promoting least-cost generation, particularly through scalable renewable energy investments; and (3) investing in transmission and distribution networks to enhance system efficiency and enable interconnection. Improving coordination across federal and state levels, alongside targeted public and private investment, will be essential to unlock economies of scale, crowd in financing, and ensure that electricity reforms support broader objectives of competitiveness, job creation, and inclusive growth.

SOO KOOBID FULINTA

Dhaqaalaha Soomaaliya wuxuu muujiyay adkaysi muuqda marka la galay 2025, taasoo ay taageerayaan dadaallo dib-u-habeyn joogto ah oo lagu xoojinayo joogtaynta miisaaniyadda, hay'adaha, iyo adkeysiga qaybta gaarka ah. Heerarka deymaha oo hooseeya kadib dhameystirka HIPC, isbeddelada siyaasadda canshuuraha, iyo dib-u-habaynta lagu horumarinayo nidaamka lacag-bixinta, ballaarinta kormeerka qaybta maaliyadda iyo ka hortagga lacag dhaqida, ayaa ka qayb qaatay maareynta dhaqaalaha guud ee wanaagsan. Isbeddelada qaab-dhismeedka ee kalluumaysiga, isgaarsiinta, iyo korontada, iyo sidoo kale iswaafajinta joogtada ah ee qaab-dhismeedka sharciga iyo hay'adaha ee Bulshada Bariga Afrika (EAC) ayaa kor u qaadi doona adkeysiga qaybta gaarka loo leeyahay in kastoo ay jirto xaalad adag oo dibadda ah. Aasaaskan wanaagsan waxay muujinayaan horumarka Soomaaliya ee xoojinta kalsoonida dhaqaalaha guud, in kastoo ay weli jiraan nuglaansho.

Si kastaba ha ahaatee, adkeysiga dhaqaale ee Soomaaliya ayaa la tijaabiyay iyadoo isku darka cilado ay dhaceen intii lagu jiray 2025. Joojinta gargaarka bini'aadamnimada iyo amniga ayaa hoos u dhigay baahida guud, halka xaaladaha cimilada xun ay carqaladeeyeen wax-soo-saarka beeraha iyo xoolaha. Kobaca ayaa inta badan ku saleysan isticmaalka laakiin hoos ayuu u dhacay ilaa 3 boqolkiiba 2025 isagoo ka soo dhacay 4 boqolkiiba oo uu ahaa 2023 iyo 2024, taasoo sababtay in GDP-ga dhabta ah ee qofkiiba aanu si weyn u korin. Hawlaha maalgashiga ayaa noqday kuwo adkaysi badan—oo ay taageerayaan lacagaha la soo diro iyo ballaarinta magaalooyinka—laakiin waxqabadka dhoofinta ayaa yaraaday, taasoo muujinaysa saldhigga dhoofinta ee Soomaaliya oo cidhiidhi ah oo u nugul cimilada. Xaddidaadaha dhismaha, oo ay ku jiraan kharashka koronto iyo gaadiidka oo sareeya, helitaanka maaliyadeed oo xaddidan, iyo kala qaybsanaanta gudaha, ayaa sii carqaladeeyay horumarinta warshadaha iyo ballaarinta qaybta gaarka ah. Cadaadisyaada sicir-bararka ayaa sare u kacay iyadoo gaartay 3.7 boqolkiiba sanadka 2025

marka la barbar dhigo 3.3 boqolkiiba sanadka 2024, taasoo inta badan sabab u ahayd cunto, adeegyada adeegyada, iyo kharashyada gaadiidka, in kastoo dollarization-ka ballaaran uu ka caawiyay xakameynta xasilooni la'aanta qiimaha ballaaran. Dhimista gargaarka sidoo kale waxay yeelatay cawaaqib bulsho oo weyn, iyadoo cunto la'aanta ay sii kordhayeen hoos u dhaca saboolnimada.

Deeqaha rasmiga ah oo hooseeya iyo dhoofinta oo daciif ah ayaa ballaariyay dheelitirka dibadda iyo xoojiyay miisaaniyadda hadda taagan ee Soomaaliya ee qaab-dhismeedka hadda. Hoos u dhaca xisaabta hadda jirta ayaa gaadhay 9.6 boqolkiiba GDP sanadkii 2025 iyadoo ka soo bilaabatay 9.3 boqolkiiba GDP sanadkii 2024. Lacagaha la soo diro ayaa sii waday inay door muhiim ah ka ciyaaraan xasilloonida, iyagoo bixiya meel muhiim ah oo loogu talagalay dakhliga guryaha iyo soo gelitaanka lacagaha qalaad, isla markaana qayb ahaan ka magdhawday hoos u dhaca gargaarka. Inkasta oo ay adkaysi badan tahay, xaaladda dibadda weli aad bay u nugul tahay shoogyada, taasoo muujinaysa saldhigga dhoofinta ee Soomaaliya oo cidhiidhi ah iyo ku tiirsanaanta badan ee soo dejinta cuntada, shidaalka, iyo alaabta macaamiisha.

Dhinaca maaliyadda, hoos u dhaca deeqaha, iyo baahida gudaha oo jilicsan ayaa xaddiday waxqabadka dakhliga, halka cadaadiska kharashka—gaar ahaan amniga iyo wareejinta dowladaha dhexdooda—ay sii xoogeysteen. Natiijo ahaan, dheelitirka maaliyadeed wuxuu isu beddelay hoos u dhac 0.4 boqolkiiba GDP sanadkii 2025, marka loo eego kororka 0.1 boqolkiiba sanadkii 2024. Si kastaba ha ahaatee, maamulka maaliyadeed wuxuu ahaa mid taxaddar leh, iyadoo ay taageerayaan dib-u-habeynta maamulka maaliyadda dadweynaha iyo booska maaliyadeed ee ay abuurtay cafinta deymaha. Ilaalinta anshax maaliyadeed iyadoo taageerada dibadda ay hoos u dhacayso ayaa muhiim u noqon doonta ilaalinta xasilloonida dhaqaalaha guud iyo ilaalinta kharashaadka mudnaanta leh.

Aragti iyo khatar. Aragtida muddada dhow tan muddada dhexe ayaa daciiftay marka loo eego filashada hore iyadoo kororka qiimaha saliidda adduunka ee dhawaanahan uu ku sii kordhinayo argagax kale dhaqaalaha Soomaaliya. Kobaca dhaqaalaha ayaa la saadaalinayaa inuu sii ahaan doono mid dhexdhexaad ah oo ah 2.8 boqolkiiba sanadka 2026 isla markaana kor u qaadi doono wax dhan 3.1 boqolkiiba sanadka 2027, taasoo xaddidaysa hoos u dhaca gargaarka, isbeddelka cimilada, isbeddelka qiimaha caalamka ee ka dhashay dagaalka Bariga Dhexe, iyo awoodda wax-soo-saarka oo xaddidan. Sicir-bararka ayaa la saadaalinayaa inuu kor ugu kici doono 6.0 boqolkiiba sanadka 2026 isagoo ka kacaya 3.7 boqolkiiba sanadka 2025, taasoo muujinaysa isbeddelka qiimaha badeecadaha caalamiga ah, gaar ahaan ku tiirsanaanta Soomaaliya cuntada iyo shidaalka la soo dhoofiyo, iyo carqaladeynta saadka gudaha ee la xiriira xaaladaha cimilada iyo amniga. Yaraynta saboolnimada waxaa la filayaa inay noqoto mid tartiib tartiib ah, iyadoo cunto la'aanta ay aad ugu nugul tahay natiijooyinka roobka, qulqulka gargaarka, iyo isbeddelka qiimaha.

Sicir-bararka caalamiga ah ee la xiriira colaadda Bariga Dhexe ayaa sii kordhinaya nuglaanta dhaqaale ee dibadda ee Soomaaliya, iyada oo ay taasi ku imanayso marino badan oo saameyn gudbiya. Maadaama Soomaaliya tahay dal si weyn ugu tiirsan wax soo dhoofinta, waxay ugu horrayn saameyn uga qaadaysaa dhinaca ganacsiga iyo gudbinta sicir-bararka. Kororka qiimaha caalamiga ah ee shidaalka iyo cuntada ayaa si degdeg ah ugu tarjumaya koror ku yimaadda qiimaha gudaha ee shidaalka, gaadiidka, korontada, iyo cunnada, taas oo hurinaysa sicir-bararka isla markaana hoos u dhigaysa dhaqdhaqaaqa dekedaha iyo dakhliga canshuuraha kastamka. Dhinaca xawaaladaha, Soomaaliya waxay si weyn ugu tiirsan tahay shaqooyinka ay muwaadiniinteedu ka helaan dalalka GCC, halkaas oo xaaladaha dhaqaale ee sii daciifaya ay keeni karaan hoos u dhac ku yimaadda lacagaha xawaaladaha iyo isticmaalka qoysaska. Isla mar ahaantaana, hubanti la'aanta sii kordhaysa waxay u badan tahay inay yareeyso maalgashiga shisheeye iyo kan qurba-joogta, taas oo daciifnaysa sameysanka raasumaalka iyo rajada kobaca dhaqaale ee muddada

dhexe. Saameyntaas isku biirtay waxay sidoo kale kordhinayaan cadaadiska maaliyadeed ee dowladda, iyaga oo hoos u dhigaya dakhliga isla markaana kordhinaya baahida kharashaadka.

Khataraha haysta aragtida ayaa badanaa hoos u dhacaya. Hoos u dhac qoto dheer ama ka sii dheer oo kaalmodibadda ah ayaa sii adkeynaya isticmaalka, culays gelin kara fulinta miisaaniyadda, isla markaana kordhin kara baahiyaha bani'aadamnimada. Dhibaatooyinka cimilada, oo ay ku jiraan abaaraha iyo fatahaadaha, ayaa weli halis gelinaya nolosha miyiga iyo qiimaha cuntada, halka caqabadaha amniga ay carqaladeyn karto waddooyinka ganacsiga oo ay carqaladeyn karto maalgelinta. Carqaladaha shidaalka caalamka ee muddada dheer ah, xiisadaha juqraafigeed, ama isbeddelada saameeya kanaalada lacagaha—waxay sii daciifin karaan dheelitirka dibadda. Caqabadaha isku-duwidda siyaasadeed iyo kuwa dowladaha ayaa sidoo kale khatar ku ah hirgelinta dib-u-habaynta waqtigeeda ku haboon.

Dhax marida shoogaga waxay u baahan doontaa in la dedejiyo dib-u-habeynta ageerakoboca iyo abuurista shaqooyinka, iyo in la kordhiyo dadaallada lagu dhaqaajinayo dakhliga gudaha. Wax ka qabashada caqabadaha horumarineed ee qotada dheer ee Soomaaliya waxay u baahan tahay horumarin joogto ah oo lagu sameeyo xeerarka dhaqaalaha iyo hay'ada, yareynta kala qaybsanaanta gobollada, iyo koronto la awoodi karo. Hirgelinta dib-u-habaynta joogtada ah, isku-duwid xooggan oo heerarka dowladda ah, iyo taageerada dibadda in kastoo ay sii xaddiday—ayaa noqon doonta mid muhiim u ah si loo sii wado kobaca loona abuuro shaqooyin. Dib-u-habayntan waxay sidoo kale xaqiijin doonaan awoodda dhaqaale ee uu si fiican ugu adkeysan karo dhibaatooyinka cimilada iyo dibadda ee sii kordhaya. Isla waqtigaas, kor u qaadista dhaqdhaqaaqa dakhliga gudaha waa muhiim si loo ballaariyo booska maaliyadda, loo ilaaliyo joogtaynta miisaaniyadda, loona suurtageliyo dowladda inay bixiso adeegyo aasaasi ah oo ka wanaagsan oo badan. Xaaladdan, waxaa si gaar ah muhiim u ah in la yareeyo ku tiirsanaanta deeqaha dibadda ee isbeddelka leh iyadoo kaalmooyinka dibadda ay hoos u dhacayaan.

Horumarinta dhaqdhaqaaqa dakhliga gudaha waxay u baahan tahay ballaarinta saldhigga canshuuraha, casriyeynta maamulka canshuuraha iyo kastamka, iyo hagaajinta iswaafajinta heerarka federaalka iyo gobollada. Sii wadida dib-u-habaynta maamulka maaliyadda dadweynaha iyo maaraynta deymaha ayaa weli muhiim u ah ilaalinta xasiloonaada dhaqaalaha guud iyo hubinta isticmaalka hufan ee kheyraadka xaddidan.

Kororka dhowaanahan ku yimid qiimaha shidaalka caalamka iyo sii xumaanshaha saadaasha mustaqbalka waxay sii adkaynayaan baahida degdegga ah ee loo qabo dhimista kharashaadka qoysaska iyo shirkadaha, iyo u gudbidda soo saarista koronto waarta oo sii jirta. Hoos u dhigista kharashaadka korontadu waxay sidoo kale keeni lahayd faa'iidooyin dhaqaale oo guud, sida yaraynta ku tiirsanaanta isbeddelka qiimaha badeecooyinka caalamiga ah, dejinta cadaadiska sicir-bararka, iyo xoojinta awoodda wax iibsiga ee qoysaska iyo tartanka ganacsiyada. Qaybta korontada Soomaaliya weli waxaa haysto dhibaato inay gaarto kobac iyo horumarinta qaybta gaarka loo leeyahay, taasoo lagu garto kala qaybsanaan, kharashyada sare, nuglaanta qiimaha badeecada ee isbeddelaya, iyo xeerar xaddidan. Bixinta korontada waxaa xukuma nidaamyo yaryar oo gaar loo leeyahay oo si weyn ugu tiirsan waxyaabaha la soo dhoofiyo, taasoo keenta qaar ka mid ah canshuuraha ugu sarreeya caalamka iyo kala duwanaansho weyn oo tayada adeegga ah meelaha kala duwan. Maamul qaybeed iyo daciif ah, dhaqaalaha cabbirka oo xaddidan, iyo kaabayaasha gudbinta iyo qaybinta oo aan ku filnayn ayaa xaddidaya wixtarka waxayna caqabad ku tahay isku-darka ilaha wax soo saarista qiimaha jaban. Daciifnimadan qaab-dhismeedka waxay kor u qaadaan kharashka wax-soo-saarka guud ahaan dhaqaalaha, si aan sinnayn u saameeyaan shirkadaha yaryar iyo guryaha, waxayna xaddidaa fursadaha hawlaha warshadaha iyo abuurista shaqooyinka.

In kasta oo horumar lagu sameeyay ballaarinta in la gaarsiyo magaalooyinka waaweyn, helitaanka

korontada weli waa mid aan siman ahayn iyo caqabado kalsooni ah oo weli jira. Ra'yi uruurinta Qaab-dhismeedka Heerarka Badan (MTF) ee 2025) wuxuu muujinayaa in 71 boqolkiiba qoysaska ay soo sheegaan nooc ka mid ah helitaanka koronto, hase yeeshee kaliya 21 boqolkiiba guryaha korontada leh ayaa helaya in ka badan siddeed saacadood maalintii. Aagagga magaalooyinka ayaa arkay horumar tartiib tartiib ah oo xiriir ah oo ay sabab u tahay maalgelinta gaarka loo leeyahay iyo kororka dadka, halka korontada siinta miyiga iyo deegaanada hareeraha magaalooyinka ay weli xaddidantahay. Shirkaduhu si joogto ah ayay u aqoonsadaan qiimaha korontada iyo kalsoonida inay yihiin xaddidaadaha waaweyn ee hawlgalka, iyadoo marar badan iska baxayso iyo isbeddelada danabka ay u baahan yihiin xalal in qofka asaga koronto samaysto iyo kayd qaali ah. Guryaha, canshuuraha sare ayaa xaddiday isticmaalka iyo daryeelka bulshada, halka helitaanka xaddidan uu sii xoojiyo sinnaan la'aanta ka jirta deegaanada iyo wiiqda bixinta adeegyada, gaar ahaan adeegyada caafimaadka, waxbarashada, iyo adeegyada biyaha.

Wax ka qabashada caqabadahan waxay u baahan tahay ajande dib-u-habeyn ah oo diiradda saaraya dhimista kharashka, hagaajinta kalsoonida, hoos u dhigida nuglaanta, iyo ballaarinta helitaanka. Tallaabooyinka mudnaanta leh waxaa ka mid ah (1) xoojinta qaab-dhismeedka xeerarka iyo hay'adaha si loo yareeyo kala qaybsanaanta loona hagaajiyo kormeerka; (2) dhiirrigelinta soo saarista qiimaha ugu yar, gaar ahaan iyada oo loo marayo maalgelinta tamarta la cusboonaysiin karo ee la ballaarin karo; iyo (3) maalgelinta shabakadaha gudbinta iyo qaybinta si loo kordhiyo wixtarka nidaamka loona suurtageliyo isku xirka. Hagaajinta isku-duwidda heerarka federaalka iyo gobollada, iyo maalgelinta dadweynaha iyo kuwa gaarka loo leeyahay, ayaa muhiim u noqon doonta in la furo dhaqaalaha miisaanka, la ururiyo maalgelinta, loona hubiyo in dib-u-habaynta korontada ay taageerto yoolalka ballaaran ee tartanka, abuurista shaqo, iyo kobaca guud ee loo wad adhan yahay.

CHAPTER ONE

RECENT ECONOMIC DEVELOPMENTS AND OUTLOOK



Global and Regional Environment

The global economy remains resilient in 2025 despite trade tensions and policy uncertainty, but downside risks and uncertainty have intensified in 2026. Global growth is estimated at 2.7 percent in 2025, 0.4 percentage points above the June 2025 projections but slightly below the 2.8 percent in 2024, driven by stronger than-expected growth in major economies (World Bank, 2026b). This resilience partly reflects front-loaded trade ahead of anticipated tariff increases; as this temporary support fades, global trade is expected to soften. Growth and inflation prospects remain subdued subject to elevated risks amid ongoing trade policy shifts, fuel price hikes and global tensions.

Sub-Saharan Africa's recovery from successive global shocks is losing momentum in 2026. Rising geopolitical risks related to the conflict in the Middle East, together with mounting debt service burdens and long-standing structural weaknesses, are weighing on economic activity. Regional gross domestic product (GDP) growth is projected at 4.1 percent in 2026, unchanged from 2025, but downside risks have intensified. Economic growth in 2025 benefited from improved inflation management, ongoing fiscal consolidation, and reforms aimed at enhancing domestic revenue mobilization and strengthening debt management frameworks.

Amid ongoing macroeconomic stabilization efforts, domestic demand continues to underpin economic growth across the region. Private consumption and domestic investment have been buoyed by accommodative monetary policy and improving external conditions, including the depreciation of the U.S. dollar, which has helped ease inflationary pressures. At the same time, elevated commodity prices—especially for precious metals and beverage commodities—strengthened revenues in several African economies in 2025 and are expected to continue to support the fiscal and external balances of resource abundant countries over the current year.

Downside risks to the growth outlook have risen markedly since the end of February 2026. The Middle East conflict has escalated sharply, with direct attacks on energy infrastructure and severe disruptions to shipping through the Strait of Hormuz. The magnitude of the spillovers to Sub-Saharan Africa will depend on the duration of the conflict, the scope of regional transmission channels, and the extent of damage to critical infrastructure. These risks are further amplified by heightened debt vulnerabilities and a contraction in external financing—most notably a reduction in development assistance—placing additional strain on the fiscal positions of low income countries.

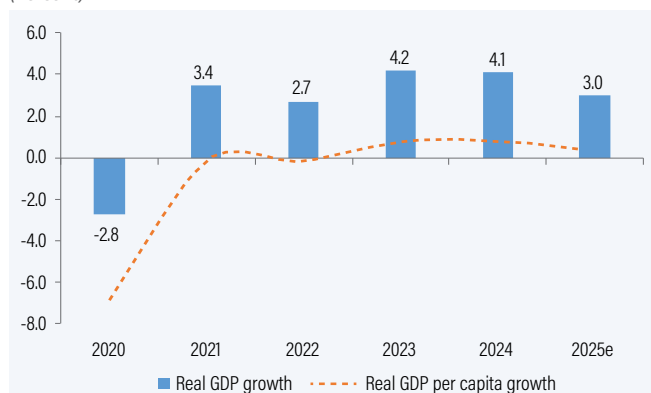
Recent Economic Developments in Somalia

Despite positive momentum in recent years, economic growth has decelerated

Somalia's economic growth moderated in 2025 on the back of a sharp decline in foreign aid and drought conditions. Real GDP growth is expected to have reached 3 percent in 2025, a notable deceleration from the 4.1 percent growth recorded in 2024 (Figure 1), resulting in broadly stagnant real GDP per capita. Somalia, one of the key recipients of foreign aid in the region, relied on external financing for security and humanitarian support. Both security and humanitarian aid were significantly curtailed in 2025, weighing heavily on consumption of households and non-profit institutions serving households. In addition, below-average rainfall during the October–December 2025 Deyr season—at less than 30 percent of the seasonal norm—reduced crop production and agricultural output, adversely affecting rural incomes, food security, and export performance. This also impacted livestock, as below-average Gu rains and a largely failed Deyr season led to severe pasture and water shortages, worsening animal health conditions and reducing milk production.

Figure 1: GDP and GDP per capita growth

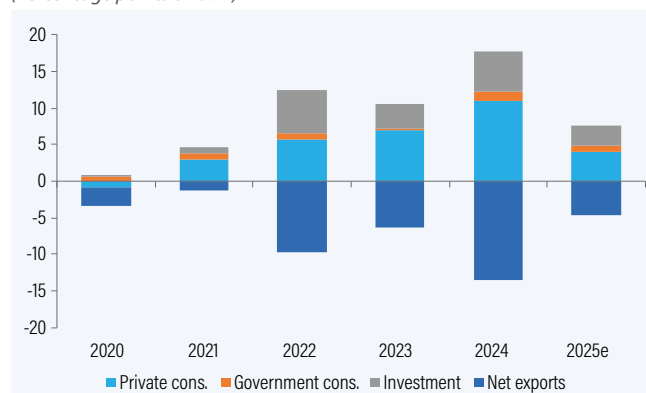
(Percent)



Source: Somali National Bureau of Statistics (SNBS) and World Bank staff estimates

Figure 2: GDP growth and its drivers

(Percentage points of GDP)



Source: SNBS and World Bank staff estimates

Private consumption remains the primary driver of Somalia's aggregate demand (Figure 2). Private consumption growth markedly slowed down to 3.1 percent in 2025, from 8.8 percent in 2024, with the slowdown linked to reduced foreign aid and the resulting cutback in humanitarian support; both cash benefits and in-kind assistance. The activities of non-profit institutions providing basic service delivery to households were also affected by reduced donor financing. Government consumption moderated in 2025, in part due to lower bilateral grants and slower project implementation, which reduced project disbursements. Investment growth decelerated but remained strong, supported by remittances, expanding credit, and public investment. With significant slowdown in imports, the negative contribution of net exports to growth was scaled down.

Weak competition, barriers to trade and investment, regional fragmentation, and infrastructure gaps are among the key barriers to firms' growth (Bareisaite et al., 2025). High market concentration and weak competition allow dominant firms to distort prices, restrict entry, and crowd out smaller and new firms, reducing incentives to invest, innovate, and improve productivity. Barriers to trade and investment further confine most businesses to local markets, fragmenting economic activity and weakening incentives to upgrade skills, adopt modern technologies, or scale operations, which in turn constrains job creation and

wage growth. Regional fragmentation exacerbates these challenges, with economic activity heavily concentrated in Mogadishu while firms in other regions struggle to formalize, attract investment, and grow, widening spatial disparities and limiting inclusive employment opportunities. Finally, infrastructure gaps and weak connectivity, particularly poor road conditions, seasonal flooding, and limited transport networks, raise costs, disrupt supply chains, and restrict firms' ability to access broader markets, especially outside the capital. Together, these constraints reinforce low competition, narrow market reach, and uneven growth, holding back the development of a more dynamic, productive, and geographically inclusive private sector in Somalia.

Access to electricity remains a significant constraint on firm performance and economic growth, driven less by connection delays and more by excessive costs and unreliable supply. Electricity is relatively available in major cities (Chapter 2). However, firms consistently report that high tariffs and frequent service interruptions raise operating costs, disrupt production and service delivery, and reduce profitability—particularly for energy intensive activities and firms seeking to scale. Electricity constraints are more binding outside Mogadishu, where limited network coverage and poor service quality confine firms to local markets

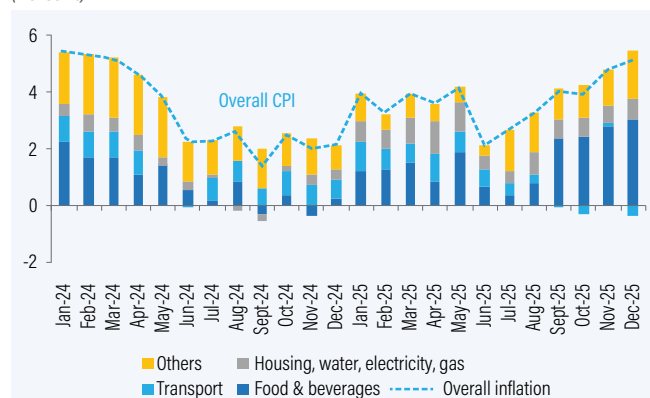
and discourage geographic expansion. Even where access exists, unreliability forces firms to resort to costly coping mechanisms, such as backup generators, further eroding competitiveness. As a result, weak and expensive electricity supply acts as a structural bottleneck that limits investment, constrains productivity growth, and reinforces spatial fragmentation in Somalia's private sector.

The sector's heavy dependence on imported diesel also heightens Somalia's exposure to external and commodity price shocks. Recent global oil price increases linked to the conflict in the Middle East have underscored these vulnerabilities. Higher fuel prices are rapidly transmitted to domestic electricity tariffs, transport costs, and food prices, adding to inflationary pressures and weakening household welfare. Elevated energy costs also erode firms' competitiveness, particularly in trade, manufacturing, and services. Transitioning to more sustainable electricity generation would help reduce exposure to fuel price volatility while lowering long-term supply costs.

Inflationary pressures have increased

Inflation accelerated in 2025 due to supply disruptions and worsening weather conditions. National headline inflation¹ reached 3.7 percent in

Figure 3a: Contribution to inflation, percent and percentage points
(Percent)



Source: SNBS

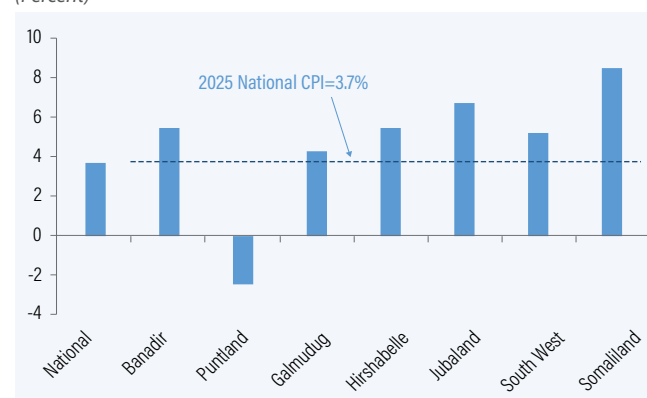
¹ The SNBS started publishing national inflation in 2025, backcasting to 2024.

² Poverty is measured as the number of people living below the national poverty line. The nowcasting of poverty level was based on private consumption trends in 2023-25 and the 2022 Household Budget Survey.

2025 compared to 3.3 percent in 2024. This increase in headline inflation reflected higher prices of food, utilities, and transport (Figure 3a). Food inflation accelerated sharply in the second half of 2025, rising from 1.7 percent in 2024 to 3.4 percent in 2025. Inflation patterns varied by state (Figure 3b). Jubaland and Banadir (which includes Mogadishu) recorded inflation rates above 5.5 percent in 2025 while Puntland saw a deflation. Nevertheless, de facto dollarization kept overall inflation moderate and well-anchored.

Figure 3b: National and FMS inflation

(Percent)



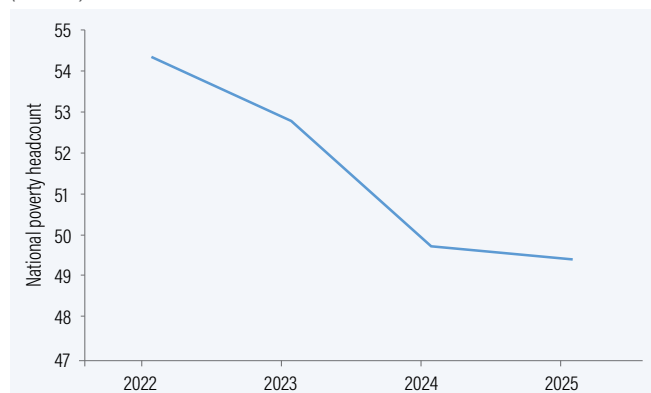
Source: SNBS and Somali land CSD

Poverty reduction efforts were interrupted by declining humanitarian support and climate shocks

Poverty reduction stalled in 2025, halting the progress made since 2022. After falling for 2 years in a row, poverty² is estimated to have declined by 0.3 percentage points in 2025, compared to the larger gains since 2022 (Figure 4a). The stalling was largely due to cuts in foreign aid, with nearly two-thirds of recipient households reporting that their assistance stopped, according to a phone survey conducted in July and August 2025 (Box 1). The number of beneficiaries of cash and in-kind transfers was drastically reduced as drought conditions worsened, and food prices rose. As a result, the share of households classified according to Integrated Food Security Phase Classification (IPC) in Crisis (Phase 3) and Emergency (Phase 4) increased in the second half of 2025 (Figure 4b).

Figure 4a: Nowcasting of national poverty

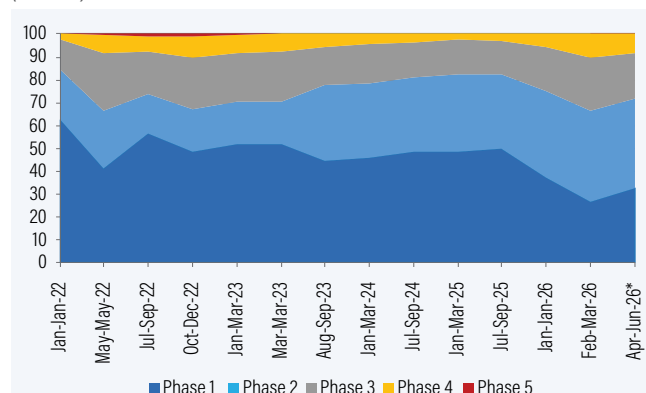
(Percent)



Source: World Bank staff calculations based on 2022 Household Budget Survey.

Figure 4b: Share of households facing food insecurity

(Percent)



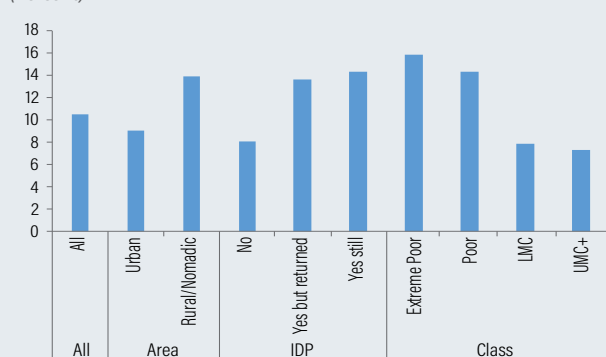
Source: IPC or Integrated Food Security Phase Classification*

Box 1: Foreign aid, poverty, and welfare dynamics in 2025

Survey evidence³ confirms the adverse impact of declining aid flows. Overall, 10 percent of respondent households reported receiving any form of assistance in the six months preceding the survey, primarily from international organizations and non-governmental organizations (NGOs), largely in the form of cash transfers or food assistance. The incidence of assistance was higher among rural and nomadic households and internally displaced persons (IDPs) (Figure B1.1). Among recipient households, 45 percent reported receiving food assistance and 39 percent cash transfers. NGOs (50 percent) and international organizations (34 percent) were identified as the main providers.

Figure B1.1: Share of households receiving assistance in the last 6 months, wave 2

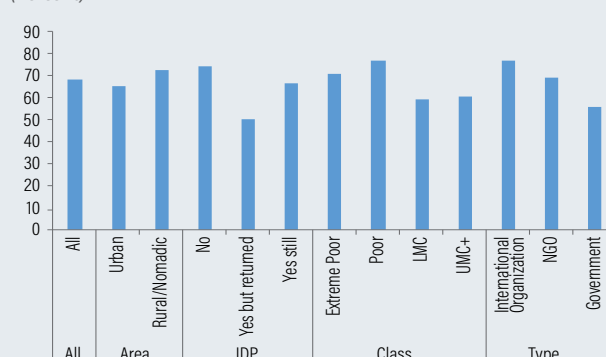
(Percent)



Source: SNBS

Figure B1.2: Share of beneficiary households whose assistance stopped in the last 3 months

(Percent)



Source: SNBS

More than two-thirds of households that had received assistance in the six months preceding the survey reported that it had stopped within the preceding three months. The cessation rates are highest among assistance provided by international organizations. Particularly concerning, self-reported poor households were significantly more likely to report the discontinuation of support (Figure B1.2), highlighting the regressive distributional effects of aid cuts. In response to the withdrawal of assistance, households primarily adjusted by reducing food consumption: 70 percent reported cutting the number of meals, while 53 percent cited reduced access to food aid.

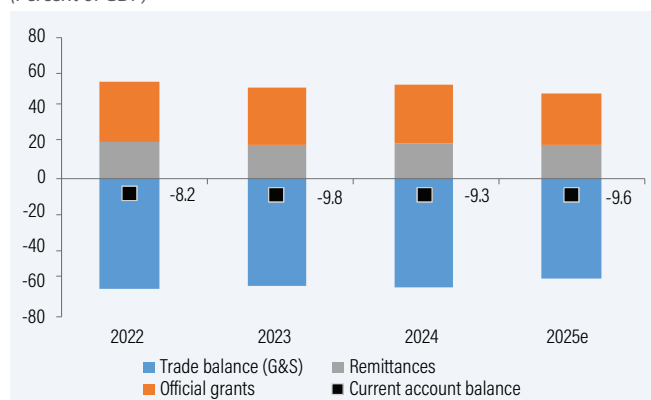
³ The Listening 2 Somalia Survey consisted of two rounds of phone surveys. The first wave took place in April and May of 2025, and the second wave took place in July and August 2025. Around 3,000 households were sampled each wave, with 1,900 in the second wave being panel observations. The survey asked whether the household had received assistance. This covered cash, food, or non-food assistance. However, it would not capture the impact of reduced assistance on service provision, such as health clinics, etc.

External pressures heightened amid aid cuts

The current account deficit is estimated to have widened to 9.6 percent of GDP in 2025 from 9.3 percent in 2024, as external official grants declined (Figure 5). With major donors cutting humanitarian and security aid, external official grants fell by 4.2 percentage points of GDP. Higher remittances and slight improvement in net services exports have somewhat mitigated the impact of falling aid and worsening merchandise trade deficit. Despite global uncertainties and softer aid conditions, remittances remained resilient, supporting private consumption and demand for imported goods. Remittances reached 24 percent of GDP in 2025, up by 1.3 percentage points compared to 2024. At the same time, limited diversification of exports, both in terms of products and markets, and significant dependence on imported goods, have kept a high structural trade deficit.

Figure 5: Current account balance

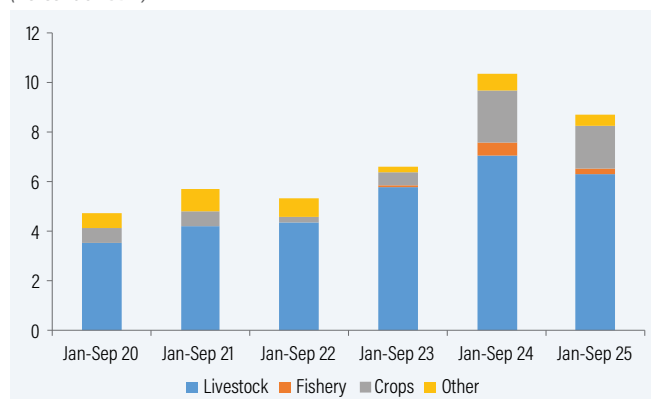
(Percent of GDP)



Sources: CBS, IMF, and World Bank staff estimates.

Figure 6a: Trend in exports (FOB)

(Percent of GDP)



Source: CBS

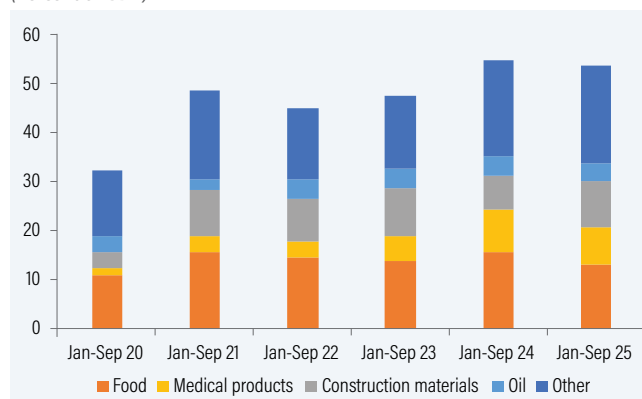
This highlights the predominance of structural constraints in the production and trade base, as well as the economy's ongoing dependence on external financing to sustain its external position.

Total exports declined by 1.7 percentage points of GDP year-on-year in January-September 2025, albeit from a high base. Poor rainfall and limited water storage and irrigation facilities worsened pastures' quality and downsized crops. As a result, livestock exports, accounting for roughly three-quarters of total export receipts, contracted by 0.8 percentage points and exports of crops and vegetable oil by 0.3 percentage points, year-on-year, hence contributing most to overall export decline. Exports of fisheries have been volatile over the past two years (Figure 6a). Overall, the export composition continued to exhibit high concentration in few primary commodities and few markets, limiting resilience to sector-specific shocks.

Imports fell by 1.1 percentage points of GDP year-on-year in January-September 2025 amid falling foreign aid (Figure 6b). Dwindling aid affected imports with direct imports from aid organizations falling and demand for food and medical products slowing, as private consumption growth moderated. Food imports fell by 2.5 percentage points year-on-year, and imports of medical products contracted by 0.8 percentage points. Imports of all other products expanded as Somalia's economy continues to depend

Figure 6b: Trend in imports (CIF)

(Percent of GDP)



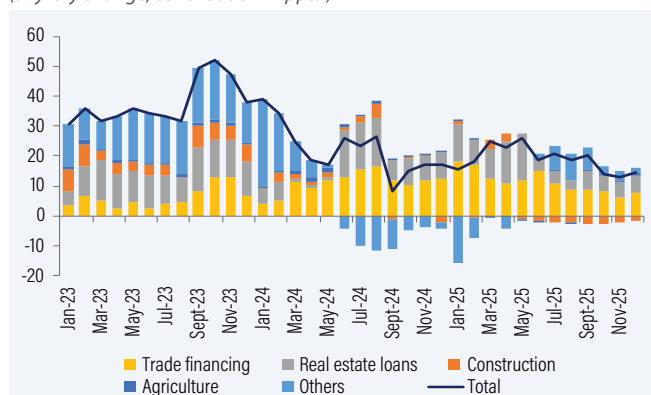
Source: CBS

on imports for consumption and of intermediate inputs. Construction materials registered a strong increase (2.1 percentage points), consistent with ongoing urbanization, and now constitute one of the largest non-food import components. Imports of oil moderated, broadly aligned with international energy price trends. Overall, the import basket continues to be dominated by essential goods, with food and medical products making up nearly 40 percent of total imports' value, while the share of capital goods remains negligible, limiting domestic production capacity. Unfinished fiscal federalism creates significant distortions for external trade and production as FMS charge different tariffs and use different rules and procedures in dealing with businesses.

Financial intermediation is gradually expanding supported by continued strengthening of financial sector institutions

Private sector credit continued to grow in 2025, albeit at a slower pace and remained shallow and highly concentrated. Private sector credit growth moderated to 14 percent in 2025, from almost 30 percent annual growth recorded in 2022-23. Loans to trade financing, construction and real estate sectors—together explain almost two thirds of total outstanding credit stock (Figure 7). Banking sector indicators also point to a generally sound system:

Figure 7: Somalia's credit to private sector
(% y-o-y change, contribution in ppts.)



Source: CBS

capital and liquidity levels are comfortable, and non-performing loans have remained low at about 2–3 percent of total loans. Between 2024 and 2025, total commercial bank assets reached roughly US\$2.3 billion.⁴ Moreover, capital adequacy remained strong, with the regulatory capital to risk-weighted assets reaching 16.6 percent as of September 2025, well above the Central Bank of Somalia (CBS) minimum requirement of 12 percent. Profitability has also recovered from 2024, with reported earnings before taxes and zakat totaling US\$9.6 million.⁵ Commercial banks' loan-to-deposit ratio⁶ continued to rise gradually, surpassing 30 percent in 2025, compared to levels in the mid-20s in prior years, indicating a modest increase in intermediation. Nonetheless, banks continue to favor liquidity over lending, with cash holdings remaining the largest asset class on banks' balance sheets, despite their share declining from 40 percent to 35 percent during the year. While on one hand, this structure indicates a deposit-funded and relatively liquid banking system, on the other hand, it also highlights the limited scale of financial intermediation in supporting broader investment and growth.

The rollout of the Somali Instant Payment System and related digital infrastructure has supported faster and more interoperable transactions across banks and mobile money providers. In the second quarter of 2025 alone, the national payment system processed transactions worth about US\$541 million, representing roughly a 19 percent increase compared to a year earlier. At the same time, CBS introduced an annual cash export limit of US\$15 million per bank to preserve US-dollar liquidity in the domestic system after detecting sizeable cash outflows. Together, these developments indicate a financial sector that is gradually deepening and digitizing, while policy priorities remain focused on stability, liquidity management, and strengthening financial infrastructure.

⁴ The information in this section is based on data received from the CBS. The data may include errors, inaccuracies, and be revised at any time by the CBS.

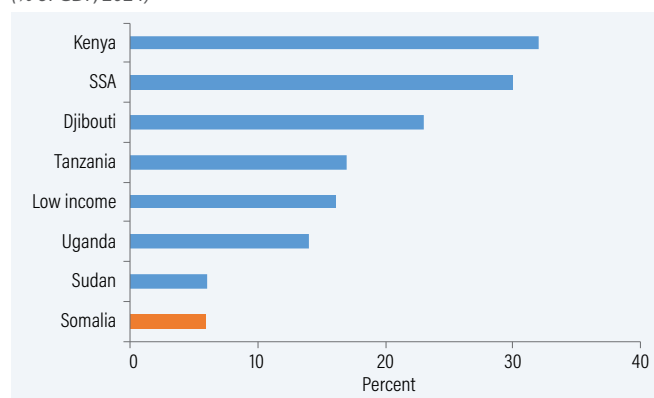
⁵ Previous CBS data initially reported positive earnings for 2024, which were later updated by the CBS to show negative profitability.

⁶ Calculated as financing assets over customer deposits.

Overall, monetary and financial sector developments in Somalia in recent years have been driven by institutional strengthening and the gradual modernization of the financial system. This is critical for the economy's sustained growth as total credit to the private sector remains around 5 percent of GDP; one of the lowest in the world (Figure 8). The Central Bank of Somalia has continued to enhance its regulatory and supervisory capacity and improve financial sector oversight.⁷ Recent reforms have focused on strengthening governance, compliance, and operational frameworks in the banking system. The new Financial Institutions Law revised Anti-Money Laundering/Countering the Financing of Terrorism (AML/CFT) Law, Takaful/Insurance Law, and National Payment System Law were all enacted in 2025 and early 2026. Regulatory authorities also made strong progress in compiling and disseminating financial sector data, enabling Somalia's inclusion in key International Monetary Fund (IMF) statistical databases for the first time.

Figure 8: Private sector credit

(% of GDP, 2024)



Sources: WDI and CBS. Data for Somalia refers to 2025.

Fiscal position weakened amid declining external grants and lackluster revenue performance

Somalia's fiscal position remained broadly balanced but regressed compared to 2024. The Federal Government of Somalia (FGS) ran a deficit of 0.4 percent of GDP in 2025 while in 2024 the budget was in surplus of 0.1 percent of GDP (Figure 9). Lower bilateral

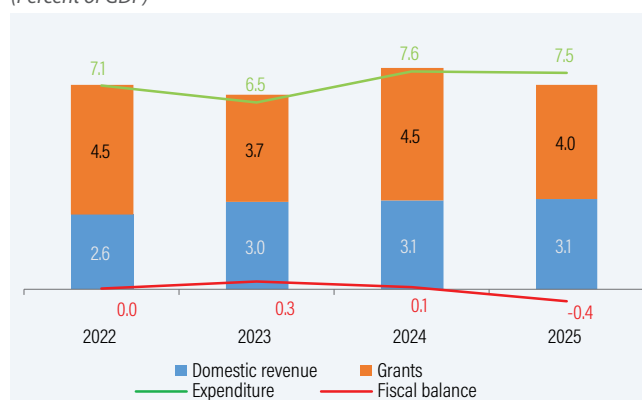
grants and customs revenue were the key factors affecting the fiscal position. Overall external grants declined by 0.6 percentage points of GDP in 2025 to US\$515 million. Bilateral grants, which financed mostly security spending, declined by almost 40 percent year-on-year requiring a shift to domestic financing of security and consolidation of spending. Multilateral grants provided budget support and financed project costs. While budget support was in line with inflows received in 2025, project disbursement declined to 2.6 percent of GDP in 2025 compared to 2.9 percent in 2024. Overall revenues improved marginally compared to 2024 as customs revenue fell short of expectations while inland tax revenue increased. However, overall revenue represented only 71 percent of the planned budget amount, necessitating significant compression of overall spending with project spending affected the most (Table 1).

Domestic revenue growth was constrained by declining aid and slowing domestic demand.

Domestic revenue reached 3.1 percent of GDP (Figure 9), marginally improving compared to 2024 (by 0.02 percentage points of GDP), below the Medium-Term Revenue Roadmap target for 2025 (3.4 percent). The adoption of the new Income Tax Law, efforts to increase the use of digital tools for sales tax, and the rollout of the non-tax revenue portal contributed to revenue gains. These gains offset to

Figure 9: FGS Revenue, expenditure, and overall fiscal balance

(Percent of GDP)



Source: Ministry of Finance

⁷ Following the enactment of the updated Financial Institutions Law, the Central Bank of Somalia (CBS) issued the first ten licenses to non-deposit-taking microfinance institutions and the first four licenses to insurance/takaful companies.

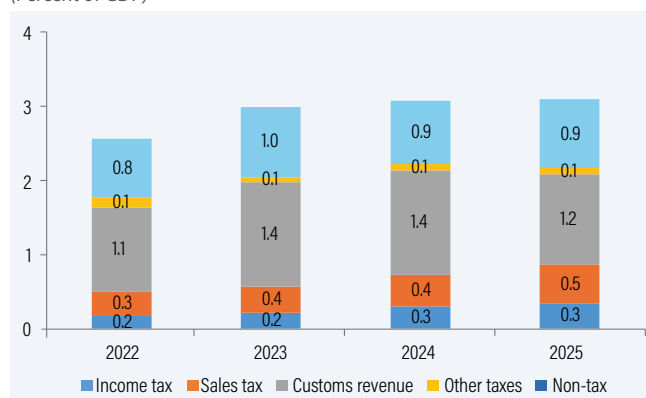
Table 1: FGS fiscal accounts, million US\$ (unless otherwise specified)

	2022	2023	2024	2025	2025	2024	2025
	Actual				Budget	Actual	
	Million US\$					Percent of GDP	
Revenue and grants	721.9	738.1	912.7	919.8	1227.5	7.6	7.1
Domestic revenue	262.7	329.5	369.4	404.3	430.3	3.1	3.1
Tax revenue	181.7	224.6	266.8	282.7	295.2	2.2	2.2
Taxes on income, profits, property	18.7	24.4	36.2	44.8	38.0	0.3	0.3
Taxes on goods and services	32.8	38.6	51.4	68.2	56.1	0.4	0.5
Taxes on international trade	116.2	154.1	168.9	158.4	186.2	1.4	1.2
Other taxes	14.1	7.6	10.3	11.3	14.9	0.1	0.1
Non-tax revenue	81.0	104.9	102.6	121.6	135.1	0.9	0.9
Grants	459.2	408.6	543.4	515.5	797.2	4.5	4.0
Bilateral	37.1	0.8	29.7	18.6	42.0	0.2	0.1
Multilateral	422.1	407.8	513.7	497.0	755.2	4.3	3.8
Expenditure	719.4	709.4	903.5	971.3	1359.8	7.6	7.5
Compensation of employees	259.6	292.2	341.6	371.1	370.0	2.9	2.9
Use of goods and services	140.7	138.2	204.5	253.9	391.5	1.7	2.0
Interest and other charges	0.7	2.4	5.8	8.1	13.8	0.0	0.1
Transfers to FMS	94.7	90.9	116.1	163.2	227.5	1.0	1.3
Social benefits	188.9	130.6	153.8	19.1	77.0	1.3	0.1
Other expenses	21.6	40.7	53.2	81.3	97.9	0.4	0.6
Capital	13.2	14.4	28.5	74.6	182.1	0.2	0.6
Fiscal balance	2.5	28.6	9.2	-51.5	-132.3	0.1	-0.4
Memo:							
Nominal GDP (US\$ Millions)	10,203	10,957	11,966	12,995	14,166		

Source: Ministry of Finance

some extent the decline in customs revenue. Customs revenue, the key revenue source for FGS (Figure 10), fell by 0.2 percentage points of GDP in 2025 compared to 2024 as declining foreign aid constrained demand for key imported goods.

Public spending growth remained modest and was concentrated on transfers to FMS, goods and services, and capital projects. Transfers to FMS peaked in 2025, reaching 1.3 percent of GDP, and reflect continued support to advancing federalism agenda and improved project implementation by FMS,

Figure 10: FGS domestic revenue (Percent of GDP)

Source: Ministry of Finance

especially of capital projects (Figure 11a). FGS also spent more on capital projects with capital spending recording a significant increase to reach 0.6 percent of GDP in 2025 from 0.1 percent in 2020. Nevertheless, limited fiscal space and weak capacity to implement infrastructure projects have kept public investment at one of the lowest levels in the region. Higher spending on goods and services reflects increased reliance on consulting services. Despite worsening food security and declining humanitarian support, spending on social benefits fell drastically in 2025 to 0.1 percent of GDP, the lowest level so far. The wage bill remained the largest component, absorbing over one-third of total expenditure and 90 percent of domestic revenue.

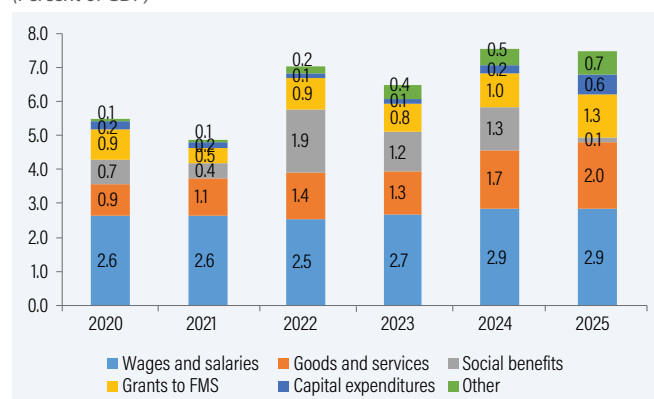
Basic service delivery continued to rely on external grants and was impacted by sharp reduction in foreign aid. As a result, actual spending on social services (health, education, and social assistance) fell to 1.3 percent of GDP in 2025 (Figure 11b), which was mostly affected by social assistance spending which saw a significant decline. Spending on education continued to improve and reached 0.4 percent of GDP in 2025, almost triple its level in 2020, and is now broadly on par with the level of health spending. Administration and security continue to receive almost half of all budget allocations. Administration spending picked up in 2025 to cover election costs.

Security spending continued to dominate budget allocations. As off-budget donor support declined, the government allocated additional resources toward security sectors previously financed by bilateral partners, further limiting fiscal space for development and social spending.

Improved subnational domestic revenue mobilization and higher transfers from FGS have improved the fiscal stance of FMS. All FMS but Puntland ran fiscal surpluses in 2025 with overall revenue increasing between 11 percent (Puntland and South West) and 60 percent (Jubaland) in 2025 (Figure 12a). Intergovernmental transfers contributed most to the positive fiscal stance with transfers to Jubaland more than doubling compared to 2024, and transfers to other FMS growing between 20 and 30 percent, except for Puntland, which recorded a decline. Subnational domestic revenue collection also strengthened, especially in Puntland, Jubaland, and Hirshabelle, but at more modest rates. Higher subnational domestic revenue in Puntland and Jubaland was driven mostly by customs revenue in contrast to FGS where customs revenue declined. Improvements in revenue collection and grant allocations were used to overall spending (Figure 12b) with wage bill, goods and services, and capital spending growing faster than previous years.

Figure 11a: FGS spending by economic element

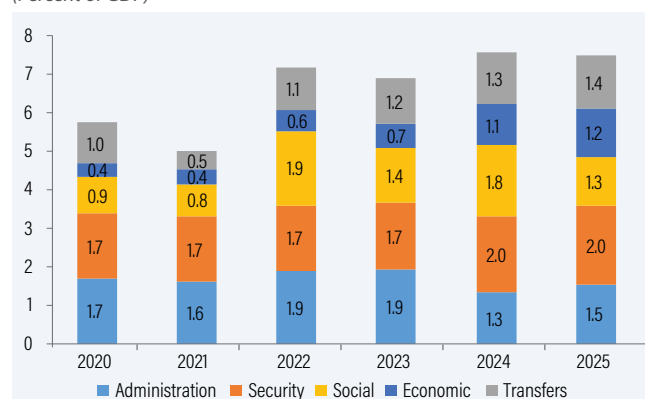
(Percent of GDP)



Source: Ministry of Finance

Figure 11b: FGS spending by function

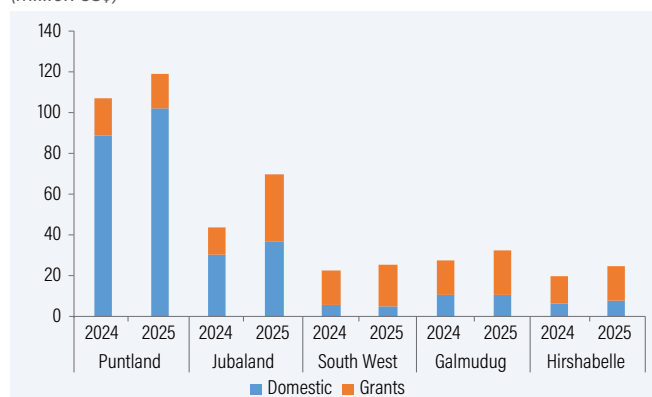
(Percent of GDP)



Source: Ministry of Finance

Figure 12a: FMS revenue in 2024 and 2025

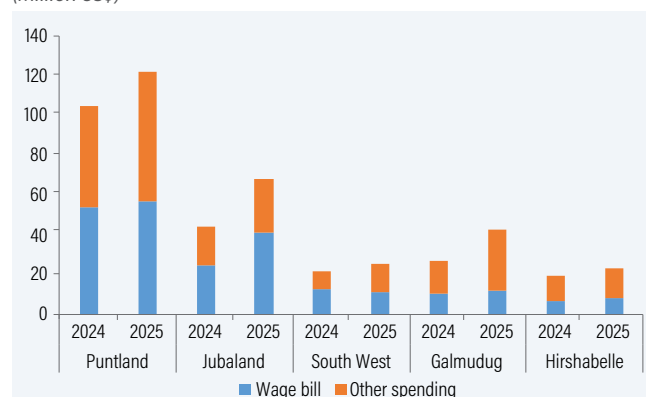
(Million US\$)



Source: Ministry of Finance

Figure 12b: FMS spending in 2024 and 2025

(Million US\$)



Source: Ministry of Finance

Somalia's attainment of the HIPC Completion Point has fundamentally improved its debt position.

Since December 2023, Somalia is assessed to be in moderate risks of debt distress for its external and overall public debt. Nearly all legacy external debt was eliminated, the largest of which was debt to Paris Club countries and negotiations with remaining creditors, mostly bilateral, continue to ensure comparable terms of debt relief with Paris Club agreement. At the end of 2025, public debt stood at US\$1,155 million, marginally increasing from US\$1,117 million in 2024, with the public debt-to-GDP ratio stabilizing at 8.9 percent in 2025. Somalia is pursuing prudent debt management policy, with most of the budget financing provided by grants or highly concessional loans. FGS continues to strengthen its debt management capacity and adopted its first Medium-Term Debt Management Strategy and Annual Borrowing Plan in 2025. Nevertheless, Somalia has weak debt carrying capacity due to low domestic revenue mobilization, nascent institutions, and high exposure to external shocks. Somalia remains highly dependent on foreign aid and is vulnerable to security, climate, commodity price, and global growth shocks. These risks highlight the critical importance of strengthening domestic revenue mobilization, adopting a credible medium-term fiscal anchor, and enhancing debt management and institutional capacity to preserve fiscal and debt sustainability.

Medium-Term Outlook, Risks and Reform Priorities

Somalia's medium-term outlook has worsened with foreign aid cuts, erratic rains, and global shocks.

Real GDP growth is projected to slow to 2.8 percent in 2026 and pick up to 3.1 percent in 2027 (Figure 13a). The projection for 2026 was downgraded by 0.7 percentage points compared to previous World Bank projections (World Bank, 2026a). The slowdown in economic growth reflects constrained private consumption due to further decline in foreign aid, worsening food insecurity, rising food and oil prices due to the conflict in the Middle East, and slowdown in remittances. Remittance inflows are projected to moderate due to regulatory changes in some host countries as well as headwinds from the conflict in the Middle East. Ongoing structural reforms to strengthen public institutions, improve the business environment, and deepen integration in the EAC are anticipated to sustain private and public investment and support accelerating GDP growth to 3.5 percent in 2028. Baseline medium-term growth is expected to be below the average for the past five years, as the growth potential of the economy remains constrained by fragility, limited productive capacity, and a narrow export base. Hence, even under the baseline, per-capita gains and job creation are likely to remain modest.

Box 2: Impact of the conflict in the middle east on Somalia's economy

Somalia is highly exposed to spillovers from the Middle East conflict because of its structural dependence on imports, remittances, and external assistance. The conflict is expected to affect Somalia's economy through three main channels: trade, labor, investment, and financial markets.

The trade channel is likely to be the most immediate and significant transmission mechanism, operating primarily through heightened volatility in global energy and commodity markets. Brent crude prices have risen sharply, contributing to an increase in domestic fuel prices—from about US\$0.60 to US\$1.50 per liter in early March 2026. Given Somalia's heavy reliance on imported fuel and food, higher global prices are likely to raise domestic food costs, while rising transport and energy costs including diesel-based electricity generation could generate higher input costs and broad-based inflationary pressures, further burdening businesses and households. Disruptions to shipping routes have also reduced activity at Somalia's ports, weighing on customs revenues given the continued reliance on package-based valuation.

The second major channel is labor and remittances, which are a critical source of income for Somali households. Somalia depends heavily on remittance inflows, including from Gulf Cooperation Council (GCC) countries. A prolonged conflict could weaken these flows through softer labor demand, slower hiring, and increased repatriations in host-country sectors such as construction, retail, and hospitality. Weaker economic conditions in host countries would reduce household incomes in Somalia, with adverse effects on consumption and welfare.

A third channel is investment. Recent investment momentum from Gulf countries to Somalia may slow amid heightened uncertainty. Gulf investors, particularly from the United Arab Emirates, have played an important role in logistics and port infrastructure. Delays or cancellations of planned investments would weaken capital formation and medium-term growth prospects. Diaspora investment could also soften, as conflict-related disruptions weigh on economic activity, incomes, and investor confidence in affected host countries.

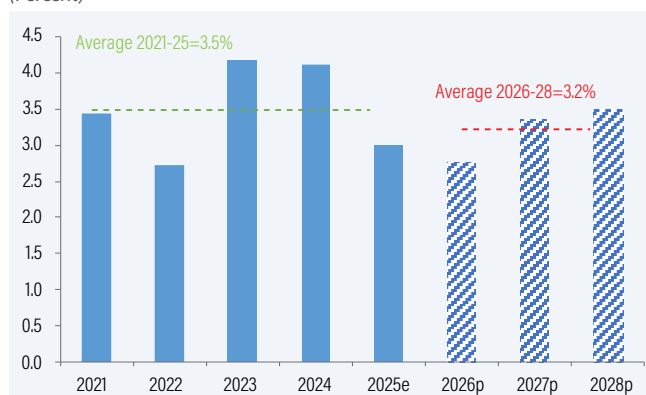
The macroeconomic and social impacts could be significant. Real GDP growth is projected to slow to 2.8 percent in 2026, down from the 3.5 percent projected in October 2025. Inflation is expected to rise to 5.3 percent, compared with earlier projection of below 4 percent. Poverty could increase by 2.0 to 4.4 percentage points, pushing an additional 290,000 to 680,000 people into poverty. The shock would also heighten fiscal risks, as weaker imports reduce customs revenues (60 percent of domestic revenues) while higher prices increase spending pressures for goods and services and social assistance.

Inflationary pressures are expected to increase in the medium term as global commodity prices surge and supply challenges persist in some regions of the country. Global oil supply disruptions due to the conflict in the Middle East have raised global oil prices which are transmitted to food and fuel prices. Fuel prices in Somalia doubled in a matter of days soon after the conflict started (SNBS, 2026). While the duration of fuel price increase is difficult to predict, it is clear that it will translate into higher prices of imports as well as higher energy prices. Somalia depends significantly on imports of goods and

services and on imported diesel for power generation (Chapter 2), which increases country's vulnerability to commodity price swings. Domestic challenges, such as weaker crops and pastures due to drought as well as supply disruptions induced by security challenges are expected to exacerbate inflationary pressures. Depending on the duration and magnitude of the commodity shocks, national inflation could be much higher than the baseline which assumes inflation picks up to 6.0 percent in 2026 and gradually slows to 4.0 percent in 2028 (Figure 13b and Table 3).

Figure 13a: Real GDP growth

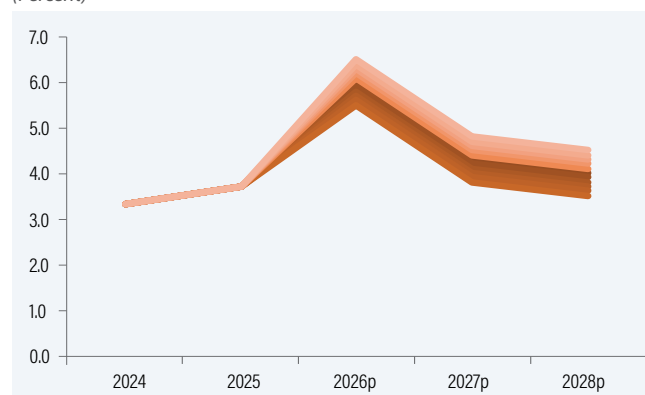
(Percent)



Source: Ministry of Finance

Figure 13b: National inflation

(Percent)



Source: Ministry of Finance

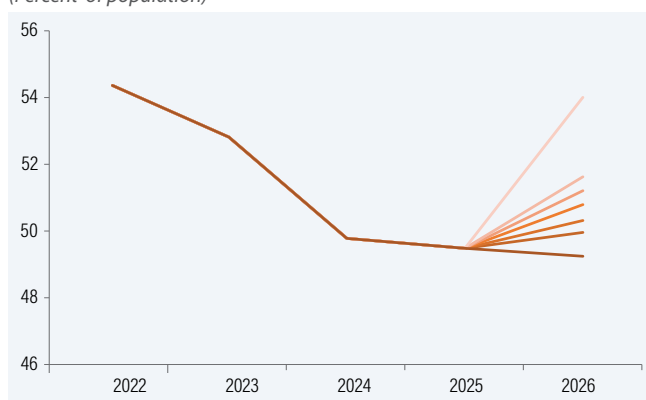
Poverty reduction is projected to remain constrained by numerous shocks to private consumption.

Worsening drought conditions, exponential decline in foreign aid, and high food prices have contributed to a significant increase in food insecurity. The number of Somalis facing acute food insecurity (IPC level 3 and above) is estimated to have reached 6.5 million in February-March 2026 compared to 4.6 million in the same period in 2025. In addition, 1.84 million children (aged 6-59 months) are expected to suffer from acute malnutrition between January and December 2026 (IPC, 2026). With subsequent increase in food and oil prices due to the conflict in the Middle East, further worsening of food insecurity and poverty is expected. While the impact of multiple shocks on poverty will vary

based on the severity of food price shocks, simulations show that poverty might increase in 2026⁸ and return to the level in 2022 if consumption contracts sharply (Figure 14).

Figure 14: Poverty headcount simulations

(Percent of population)



Sources: SNBS and World Bank staff estimates

The external outlook remains structurally tight with recent shocks including the conflict in the Middle East, contributing to further widening of the current account deficit. Somalia's import dependence, especially for food, fuel, and manufactured goods, implies persistent trade deficits, while exports remain concentrated in a few primary commodities and a few markets. Recent global oil price shocks and the deterioration in the outlook have reinforced the urgency of transitioning to more sustainable electricity generation and reducing costs for households and firms. Sizable trade imbalances are expected to be financed largely by remittances and grants. However, both sources are under increasing pressure. Remittances inflows are likely to be negatively affected by regulatory changes in some host countries, as well as weaker economic activity in countries affected by the conflict. External grants will continue to decline as donor countries reprioritize their development budgets. As a result, current account deficit is expected to widen. Regional integration through EAC membership offers opportunities to improve market access and trade facilitation, but it also introduces adjustment challenges, including competitiveness

⁸ Simulations are based on assumptions about decline in consumption of households that have historically received social assistance and been affected by drought.

Box 3: FGS 2026 budget

Somalia's 2026 budget reflects an optimistic view about revenue collection amid a weakening external environment and heightened uncertainty. Total revenue is projected to increase sharply compared to 2025 actuals, driven largely by higher projected grants; however, there is a high risk that these grants may not fully materialize, requiring consolidating spending or widening fiscal deficit beyond the 0.5 percent of GDP planned in the budget. Domestic revenue is expected to grow at a faster pace in 2026 than in 2025, but there is limited clarity on the specific policy or administrative measures underpinning this increase ahead of the elections, raising risks to revenue outturns. On the expenditure side, spending pressures remain elevated due to security needs and election related costs, while goods and services are projected to become the largest spending category. The wage bill is expected to increase only marginally, reflecting continued efforts to contain recurrent spending. Capital spending is projected to rise sharply—nearly tripling relative to 2025 actuals, supported by externally financed projects. Despite elevated food insecurity and cut in humanitarian aid, social benefits remain well below 2023–24 levels, limiting fiscal space to respond to potential humanitarian shocks.

Table B2.1: Budget operations, US\$ Millions

	2025 actual	2025 budget	2026 budget	2026 vs 2025 actual	2026 budget vs 2025 budget
	Million US\$			Percentage growth	
Revenue and grants	921	1332	1299	41.0	-2.5
Domestic revenue	405	430	471	16.1	9.4
Tax revenue	283	295	337	18.8	14.0
Taxes on income, profits, property	45	38	54	20.8	42.1
Taxes on goods and services	69	56	79	14.1	40.1
Taxes on international trade	158	186	189	19.5	1.7
Other taxes	11	15	15	31.0	-0.7
Non-tax revenue	122	135	134	9.8	-0.8
Grants	516	902	828	60.6	-8.2
Bilateral	19	42	27	45.2	-35.7
Multilateral	497	860	801	61.2	-6.8
Expenditure	971	1360	1374	41.4	1.0
Compensation of employees	371	370	379	2.0	2.3
Use of goods and services	254	392	427	68.3	9.1
Interest and other charges	8	14	7	-13.6	-49.3
Transfers	180	239	225	25.4	-5.6
Social benefits	19	77	35	83.2	-54.5
Other expenses	65	87	91	39.8	4.5
Capital	75	182	210	181.5	15.3
Budget balance	-50	-28	-75		

The 2026 budget introduce targeted reforms to strengthen fiscal management, including:

- **Stronger alignment with national priorities:** Budget allocations linked to the six pillars of the National Transformation Plan, with initial steps toward program costing.
- **Program-based budgeting:** Piloting across 41 ministries and departments, with full rollout planned by 2027.
- **Improved cash management:** Introduction of digital signatures to strengthen expenditure controls.
- **Enhanced debt management:** Approval of the first Annual Borrowing Plan establishing limits on debt accumulation.
- **Public Investment Management reforms:** Revision of PIM regulations, preparation of a prioritized capital project list for Parliament, and development of tools to monitor capital project implementation.

pressures and the need to align customs and tariff regimes (World Bank, 2025b). Over the medium term, gains will depend on harmonization of trade regimes across FGS and FMS, practical progress in logistics, standards, border processes, and export diversification rather than membership alone.

Enhancing domestic revenue mobilization is a critical factor in expanding fiscal space and strengthening fiscal resilience, especially in the context of decreasing external grants. Expanding the domestic revenue base along with better tax administration, can enhance domestic revenue mobilization, and reduce dependency on external grant over the medium and long-term. Indeed, the decline in foreign grants would bring overall revenue down to 5.8 percent in 2028 from 7.5 percent in 2025 (Table 3). Such contraction will necessitate significant consolidation of spending with worsening service delivery in education, health, and social assistance that rely predominantly on external grants. Key reforms include shifting to ad valorem customs valuation, reforming consumption and excise tax regimes, and modernizing customs and revenue administration systems. The success of any tax policy and administration effort, however, will depend on harmonizing tax and tariff rates across the country, as well as supporting rules and procedures for revenue collection, including implementing the Somali customs information system (SOMCAS) in all ports and airports.

Somalia's heightened vulnerability to external and climate shocks reinforces the importance of sustained revenue reforms. Multiple shocks—including recent spillovers from the conflict in the Middle East—could slow reform momentum in the short term as policymakers redirect attention and resources toward urgent needs. Yet stronger domestic revenue mobilization is crucial to help building the fiscal buffers needed to respond to emergencies, finance development priorities, and reduce long-term reliance on uncertain external support.

Risks to this outlook are particularly downside skewed. The outlook depends on consistent reforms in support of growth and job creation, reliable external support, and greater resilience to climate and security challenges. The most immediate risk is a deeper or more prolonged decline in aid, which can weaken consumption, compress imports, strain budget execution, and intensify food insecurity, given the heavy reliance on off-budget support. Another key risk is the climate–security interaction. Adverse rainfall, droughts, or floods can quickly reduce rural incomes and raise food prices. Security deterioration—particularly if stabilization efforts face funding shortfalls—can disrupt trade routes, deter investment, and raise operating costs. Recent volatility of global oil prices also presents a significant risk for growth, poverty reduction, and food security. Political tensions around elections and center–periphery coordination can further slow reform implementation and weaken revenue measures, while external shocks, regional tensions, or global trade uncertainty, can reduce remittance and raise import bills.

In this context, it is essential for the Government to continue prioritizing its extensive unfinished structural reform agenda to support growth and job creation over the medium term. Key areas of focus (Table 2 for details) include: (i) strengthening competition to curb price distortions and market concentration; (ii) streamlining and harmonizing regulatory requirements across federal and state levels to lower entry barriers and incentivize formalization; (iii) strengthen domestic revenue mobilization reforms to fund core state functions, security, and service delivery; (iv) furthering financial deepening and inclusion; and (v) addressing infrastructure gaps, including improving access to affordable and reliable electricity for businesses and households. Chapter 2 proposes detailed policy options to reform the electricity sector.

Table 2: Priorities to support growth and job creation

Priority	Reforms
Strengthen competition	Address widespread price distortions driven by market concentration, monopolistic practices, and weak regulation; reduce entry barriers created by dominant firms; limit state favoritism and discretionary practices; gradually level the playing field between formal and informal firms; develop competition policy framework.
Streamline and harmonize regulatory requirements across federal, state, and municipal levels	Clarify institutional roles and responsibilities across levels of government, particularly where firms must interact with multiple authorities to register, license, or operate; standardize and digitize core regulatory processes; align regulatory regimes in network and infrastructure sectors, particularly electricity.
Strengthen domestic revenue mobilization reforms	Implement SOMCAS in all FMSs and align tariff valuation and rates across the country; shift to ad-valorem customs duties; enhance nontax revenue collection—fisheries, overflight fees, telecoms, signature bonuses.
Furthering financial deepening and inclusion	Deepen financial intermediation, strengthen regulation/supervision, expand financial inclusion for SMEs, women, youth, rural communities, strengthen credit infrastructure, support digital financial services.
Enable access to affordable and reliable electricity for businesses and households	Reduce regulatory uncertainty, regularize existing providers, and create a predictable environment for private investment, prioritizing least-cost renewable generation, hybridization of diesel systems, and public service electrification.

Table 3: Somalia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

Priority	2023	2024	2025e	2026 f	2027 f	2028 f
Real GDP growth, at constant market prices	4.2	4.1	3.0	2.8	3.1	3.5
Private consumption	5.6	8.8	3.1	2.7	3.3	3.8
Government consumption	2.1	16.1	11.0	1.9	3.9	6.0
Gross fixed capital investment	14.5	21.1	8.7	7.8	8.3	9.3
Exports, goods and services	41.8	42.3	-1.2	2.3	3.4	4.7
Imports, goods and services	18.8	28.5	4.1	4.0	5.2	6.3
Inflation (consumer price index) ¹	6.2	3.3	3.7	6.0	4.3	4.0
Current account balance (% of GDP)	-9.8	-9.3	-9.6	-9.9	-9.9	-10.0
Fiscal balance (% of GDP)	0.3	0.1	-0.4	-0.6	-0.8	-1.2
Revenues (% of GDP)	6.7	7.6	7.1	6.8	6.2	5.8
Debt (% of GDP)	10.2	9.3	8.9	8.6	8.2	9.1
Primary balance (% of GDP)	0.3	0.1	-0.3	-0.5	-0.7	-1.1
National poverty line ²	52.8	49.8	49.5	49.6	49.2	48.8
GHG emissions growth (mtCO ₂ e)	-0.1	0.0	0.1	0.1	0.1	0.1

Source: World Bank, Fiscal Policy & Growth Department. Emissions data sourced from CAT and OECD

Notes: e = estimate, f = forecast.

1/ Inflation figure for 2023 refers to Mogadishu only while for 2024-2028 refers to national inflation.

2/ Projections are based on applying private consumption growth to household consumption, with a neutral distribution.

CHAPTER TWO

BOOSTING ACCESS TO ELECTRICITY



Limited energy access, low supply reliability, and high electricity costs are major barriers to private sector growth, job creation, and inclusive service delivery in Somalia. The price of energy is especially burdensome for small businesses and low-income households, restricting economic activity. Elevated energy costs contribute to inflationary pressures, reduce household purchasing power, and increase vulnerability to external shocks. In Somalia's cities, electricity is mainly provided by small, privately run companies that rely on diesel, leading to some of the highest power costs in Sub-Saharan Africa. These elevated prices, along with frequent outages and unstable quality, make it difficult for energy-intensive sectors like agro-processing and cold-chain logistics to operate efficiently. Reliable and affordable electricity provision is also critical for the delivery of essential public services, including customs operations—an important source of domestic revenue—as well as healthcare facilities. High electricity expenses undermine competitiveness and profits for small and medium enterprises (SMEs) and are a de-facto barrier to entry, deterring investments. Weak regulations and fragmentation of the sector add to these inefficiencies, further limiting job creation and broad-based economic transformation. The sector's heavy reliance on imported diesel generation also exposes it to external price volatility, triggering nearly one-for-one pass-through from oil shocks to power costs. Recent global oil price shocks, alongside a weaker economic outlook, have further underscored the urgency of transitioning toward more sustainable and least-cost electricity generation options, while reducing energy costs for households and firms. This chapter reviews the state of the national electricity sector and the challenges and opportunities it faces; summarizes key findings from a recent Multi-Tier Framework (MTF) survey of more than 3,000 Somali households (excluding Middle Jubba), and outlines policy priorities and investments needed to unlock the sector's potential to support business, create jobs, and drive economic growth.

Status of Electricity Sector

Somalia's electricity sector has made gradual progress despite persistent structural constraints. Institutional reforms have advanced, with an enabling legislative framework in place, and a national regulator established. Electrification—driven entirely by the private sector—has expanded, particularly in urban areas alongside rising urbanization. Somalia's renewable energy potential is substantial, and its development could reduce electricity costs, improve environmental outcomes, and enhance firm performance while easing pressure on household budgets. However, the sector continues to face significant challenges, including fragmentation, high electricity costs, and heavy reliance on diesel generation.

The enabling environment for the power sector has improved but remains constrained by implementation gaps. The Electricity Act, enacted in 2023, established the National Electricity Authority (NEA), which has adopted tariff setting regulations and issued licenses to 20 electricity service providers (ESPs). The National Transformation Plan (NTP) 2025-29, moreover, envisages putting in place a robust policy and regulatory framework to transform Somalia's energy sector. Nonetheless, the NEA remains understaffed and under-resourced, limiting its regulatory effectiveness, while its reach across Federal Member States (FMSs) is constrained by the incomplete fiscal federalism framework. The adoption of the Electricity Supply Industry (ESI) Institutional Structure in 2024 provides a formal roadmap to reorganize sector governance and transition from a system dominated by isolated ESFs toward a coordinated public utility holding company. Implementation of this framework, however, remains at an early stage and the energy sector continues to face coordination challenges, such as in the areas of licensing arrangements for ESFs; management of revenue requirements and tariff setting methodology; and harmonization of commercial practices across jurisdictions.

The sector is highly fragmented due to the absence of a national grid and conflict-damaged infrastructure. More than 55 private ESPs supply over 90 percent of urban electricity through isolated, diesel-based mini-grids, resulting in overlapping networks, duplicated investments, limited economies of scale, and high technical and commercial losses (estimated at 25–45 percent). These challenges are compounded by weak institutions, financing constraints, and skills shortages, contributing to high costs and unreliable supply. Greater consolidation among ESPs offers a pathway to improve efficiency and financial viability by pooling assets and customers, strengthening planning and dispatch, enabling regulatory oversight, and facilitating investment in renewable energy and regional power trade. In Hargeisa, Sompower, formed by dozens of ESPs, delivers more reliable, affordable, and scalable electricity access while facilitating regional power trade.

Significant investment will be required to meet Somalia's current and future electricity demand. Installed generation capacity is estimated at only 300–400 MW, while government projections suggest demand could rise to 1,000–4,600 MW by around 2037. Meeting this growth will require a severalfold increase in generation capacity, alongside substantial investment in transmission and distribution to connect currently isolated systems. The Ministry of Energy and Water Resources (MoEWR) estimates that

approximately US\$3 billion will be needed over the next two decades across generation, transmission, and distribution. Earlier planning supported by the African Development Bank for 2016–2025 indicated that about US\$580 million could add roughly 200 MW of new capacity. This includes 30–40 MW of solar PV, together with urban grid upgrades, mini-grid development, and distribution improvements. Overall, least-cost analyses indicate that Somalia's energy transition will depend on scaling renewable generation and strengthening networks, with grid extension, hybrid mini-grids, and off-grid solar offering the most affordable pathways to expanded access.

Given severe fiscal constraints, large-scale public investment remains limited, underscoring the importance of private sector-led solutions, particularly in distributing renewable energy. Beyond mini-grids operated by ESPs, private delivery models for standalone solar systems can expand access in remote and sparsely populated areas. Somalia currently sells an estimated 100,000–150,000 off-grid solar products annually. Geospatial electrification analysis shows that solar home systems and mini-grids represent the least-cost options for electrifying dispersed and pastoralist communities. Scaling these solutions can help address affordability constraints while strengthening financing mechanisms, quality assurance, and distribution networks.

Table 4: Electricity statistics in the region

Country	Access Rate (percent)	Renewable Energy Share (percent)	Average Tariff (cents/kWh)	Installed Generation (MW) / Peak Demand (MW)
Djibouti	65.2	40	25	160 / 120
Eritrea	54.4	1	15	90 / 100
Ethiopia	55.4	98	0.5 – 3	5,200 / 4,300
Kenya	76.2	91	20	3,300 / 2,440
Somalia	50.3	20	48 – 90	300 / 160
S. Sudan	5.4	7	30 – 32	120 / 300
Sudan	66.0	50	5	3,000 / 3,000 (pre-conflict) 60 percent cut in effective peak demand since conflict

Source: WDI data on access to electricity for latest available year. Estimate for Somalia refers to 2023; Country Master Plans, Annual Reports, IEA/IRENA datasets.

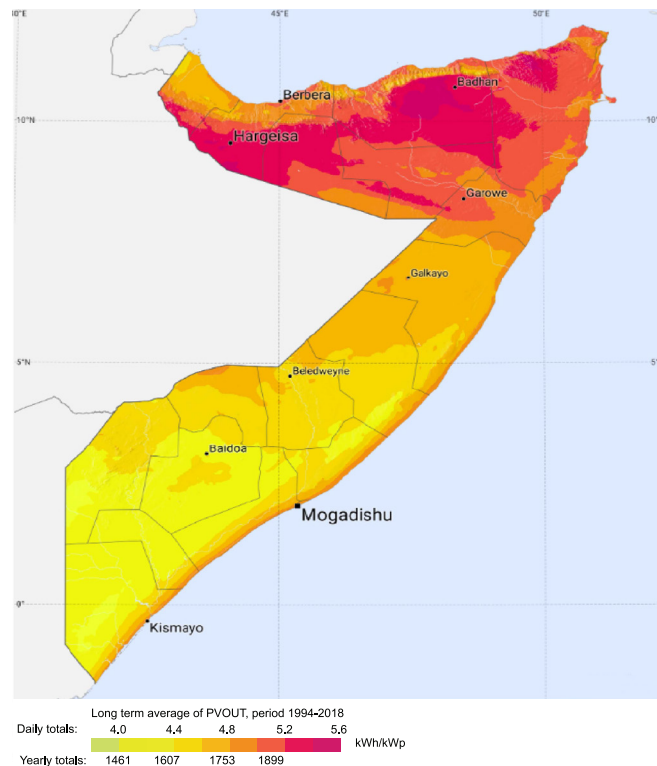
Nearly all power is produced using high-speed diesel generators, with renewable energy penetration well below regional peers. Electricity generation remains inefficient and costly. Many generators operate below technical standards due to limited investment in synchronization and efficiency improvements. This heavy reliance on diesel raises generation costs, contributes to environmental degradation, and increases carbon intensity, challenges that are further compounded by widespread reliance on biomass.

At the same time, Somalia has substantial renewable energy potential that could support a more affordable and sustainable power sector (Figures 15a and 15b). Solar radiation averages around 6 kWh/m²/day, among the highest globally, while coastal areas record average wind speeds exceeding 8 m/s, indicating strong onshore wind potential. Hydropower potential along the Shabelle and Juba rivers is estimated at 100–150 MW. Integrating solar photovoltaic generation with battery energy storage

offers the fastest and most cost-effective pathway to displace diesel, particularly in urban systems, as reflected in the 2025 Generation and Transmission Least-Cost Development Plan. The plan emphasizes diversification toward solar, wind, and hydropower, supported by clear implementation strategies and a mix of public, private, and public-private financing.

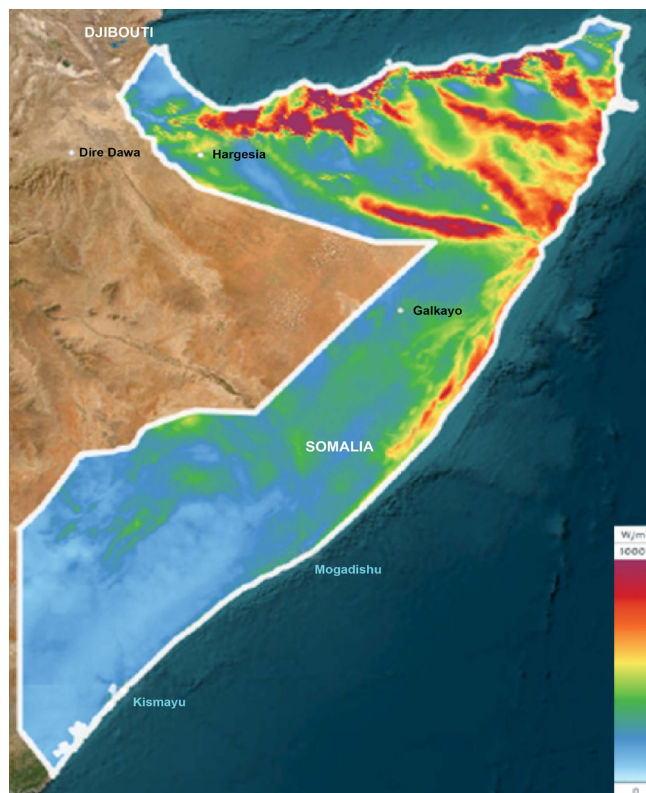
Fragmented electricity distribution, high reliance on expensive diesel for production, and limited investment have left Somalia with some of the highest electricity tariffs in the world. Somalis pay on average US\$0.60/kWh, far above the Horn of Africa average of US\$0.22/kWh (Table 4). Key reasons include costly diesel generation, poor equipment utilization, fragmented infrastructure, inefficient investments, significant losses, and inadequate regulation and planning. These disparities also highlight an opportunity for Somalia to connect regionally and access more affordable, sustainable power.

Figure 15a: Solar photovoltaic potential



Source: ESMAP Global Solar Atlas

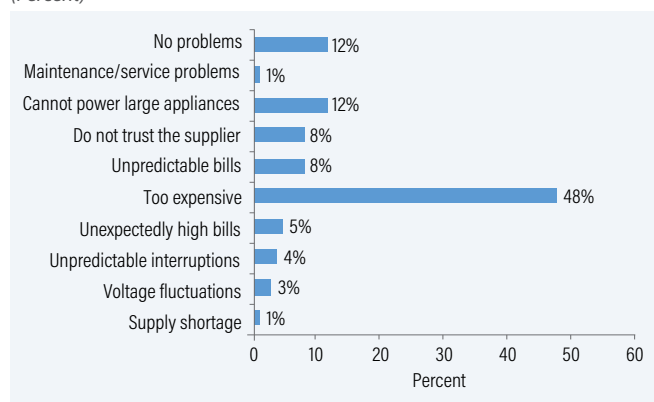
Figure 15b: Wind power density



Source: ESMAP Global Wind Atlas

High electricity tariffs are a significant burden for enterprises and households. 61 percent of enterprises identify cost of electricity supply as their primary concern—48 percent consider it too expensive, eight percent mention unpredictable billing, and five percent cite unexpectedly high bills (Figure 16).⁹ High electricity tariffs severely disrupts the opportunities for small businesses to expand, hinders employment creation opportunities, channels inflationary pressures on the cost of basic goods and services, and thereby constrains affordability for the population, especially the poor. Electricity prices are not affordable for most of Somali households and constrain access to higher quality electricity services. Almost two-thirds of households that have access to electricity face serious affordability issues as the electricity cost is a burden for household budget. The poorest are affected the most with half of the poorest households not having access to any electricity (see next section). The Integrated Household Budget Survey shows that only 46 percent of the poor households had access to electricity in 2022 compared to 81 percent for non-poor households. There are quite large differences across rural/urban/nomadic as well (see below).

Figure 16: Issues reported by enterprises about ESPs electricity supply
(Percent)



Source: MTF Survey

Access of Population to Electricity¹⁰

The MTF survey for Somalia,¹¹ conducted by the World Bank in 2025 shows that three-quarters of surveyed households had access to electricity in some form.¹² Of these, 67 percent were connected to a grid or mini-grid, often provided by ESPs while eight percent relied on off-grid solar products.¹³ This represents a notable improvement in electrification compared to 2021, when 59 percent of households reported having access.¹⁴ Despite the progress, very few households use higher-tier solar devices, such as larger solar systems that can power multiple lights and appliances; just one percent relies on these as their primary electricity source.

The MTF survey measures access to electricity and clean cooking based on a set of attributes that capture key characteristics of the energy supply that affect the user experience. Based on those attributes, it then defines six tiers of access, ranging from Tier 0 (no meaningful access) to Tier 5 (full access). Box 3 provides details on the tiers. The survey for Somalia utilized a nationally representative sample of 3,098 households, and the overall sampling weight was calibrated accordingly. More details on the sampling strategy are provided in Annex 1.

Nationwide, 71 percent of households have access to grid electricity between four to more than 23 hours per day (classified as Tier 1 or above) (Figure 17). Such access is more prevalent in urban areas (87 percent of households) while access in rural areas is limited to only 43 percent of households. Nearly half of households have access to electricity between four and eight hours per day, enabling only small appliances (Tier 2). Such access is more common in urban areas (54 percent of households) than in rural

⁹ Based on MTF survey conducted in 2025.

¹⁰ The methodology for estimating access to electricity based on the MTF is not comparable to the methodology used in the World Development Indicators database.

¹¹ Figures based on preliminary results from the Nationwide Energy Access Survey in Somalia (2025).

¹² With available electricity of below 4 hours per day to more than 23 hours per day (Tier 0 to Tier 5).

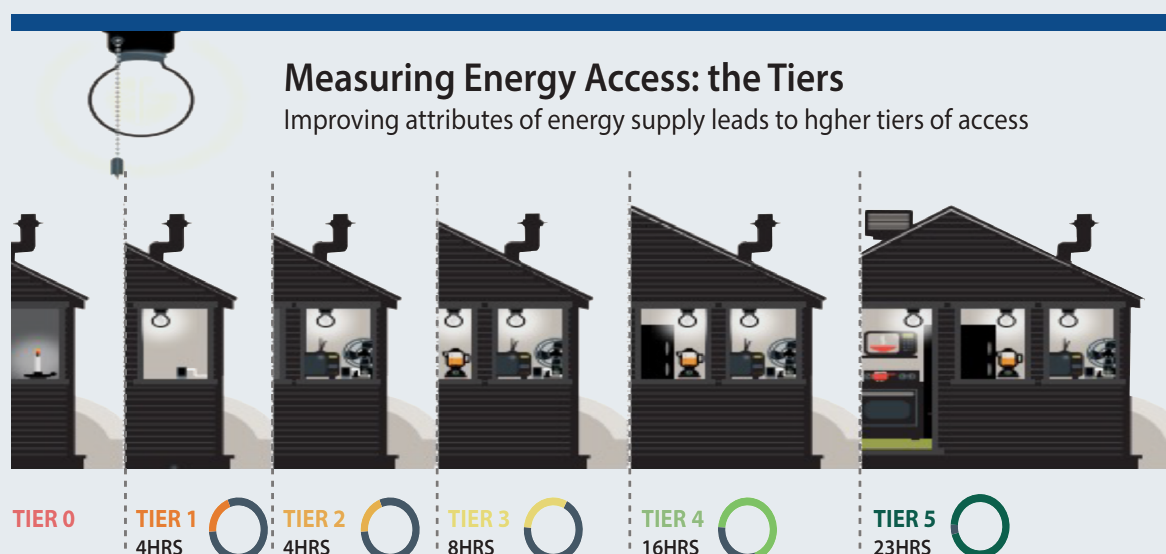
¹³ Most off-grid solar products are basic items like solar lanterns and lighting systems, which are small, portable, and powered by a solar panel and rechargeable battery.

¹⁴ According to the SNBS Integrated Household Budget Survey although data is not fully comparable.

Box 4: Definition of MTF tiers

Under the MTF for electricity, access is classified from Tier 0 (no or limited access) to Tier 5 (full service) based on the lowest tier a household attains across seven attributes: capacity, availability (hours per day and evening), reliability, quality, affordability, formality, and health and safety. The overall tier is the lowest achieved across all attributes.

- Tier 0 indicates no meaningful access (for example, capacity below 3W or less than 4 hours per day/1 hour in the evening).
- Tier 1 provides basic services like task lighting and phone charging ($\geq 3W$ and ≥ 4 hours/day with ≥ 1 hour evening).
- Tier 2 enables more small appliances ($\geq 50W$ and ≥ 4 hours/day with ≥ 2 hours evening).
- Tier 3 supports medium-load appliances ($\geq 200W$, ≥ 8 hours/day with ≥ 3 hours evening), with affordable consumption (basic consumption package of 365 kWh/year < 5 percent of household expenditure). However, there are issues with outages (>14 disruptions/week), voltage quality (appliance damages), informality and safety of the connection.
- Tier 4 offers high service levels ($\geq 800W$, ≥ 16 hours/day with ≥ 3 hours evening, and between 4-14 disruptions/week). In addition, the connection is formal and safe, with no voltage issues, and electricity consumption is affordable.
- Tier 5 reflects near-full service ($\geq 2kW$, ≥ 23 hours/day with ≥ 4 hours evening, and <3 disruptions/week totaling <2 hours), with affordable consumption, formal connections, and safe, stable supply.

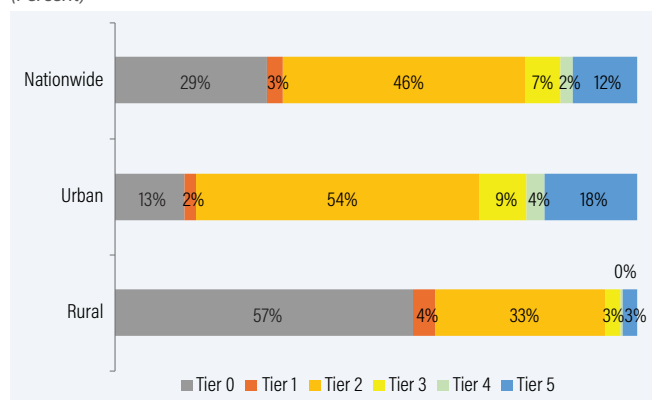


areas (33 percent of households). Due to uneven energy access provided by ESPs and affordability issues,¹⁵ only 21 percent of electrified households in Somalia have higher quality access to electricity of more than eight hours per day (Tier 3 to Tier 5) with only 12 percent of households enjoying near full service with

limited disruptions and safe and stable supply (Tier 5). In urban areas, 18 percent of households enjoy Tier 5 electricity access, and this figure drops to just three percent in rural regions. At the same time, 29 percent of households have no meaningful access to electricity (Tier 0).

¹⁵ By MTF definition, Tier-3+ electrification requires the cost of a standard consumption package of 30 kWh per month to be affordable, i.e. to be below five percent of household expenditure, irrespective of their actual consumption.

Figure 17: Distribution of households according to type of access to electricity (tier)
(Percent)



Source: MTF Survey

In rural areas, where most of the Somali poor live, access to electricity significantly lags urban areas.

Over 57 percent of rural households lack any or meaningful source of electricity (Tier 0), compared to just 13 percent of urban households. The off-grid solar market remains nascent, and its supply chains mostly reach urban distribution centers, with little presence in rural regions. As a result, even though almost half of the country's population lives within 10 kilometers of electricity infrastructure, many of these areas remain underserved by electricity services.

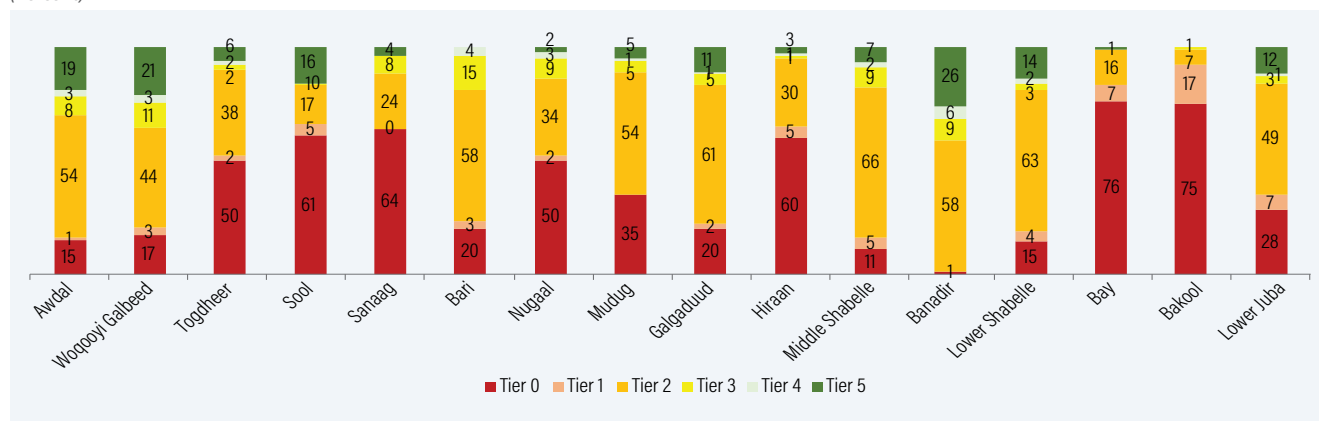
Notable disparities in access to electricity exist among administrative regions (Figure 18). Banadir

(which includes the capital Mogadishu) and Middle Shabelle are the two regions with the highest Tier 1+ electrification rates, 99 percent and 89 percent, respectively. Banadir also has the highest tier of electricity access with 26 percent households having near-full service, reliable and affordable electricity access (Tier 5), followed by Woqooyi Galbeed, Awdal, and Sool. Conversely, close to $\frac{3}{4}$ of households in Bay and Bakool have no meaningful access to electricity (Tier 0). These findings suggest that energy access is strongly influenced by factors such as population density, regional fragility and conflict, and logistical challenges associated with electrification.

Poor households have limited access to better energy services.

In the bottom quintile of households, 44 percent have the highest level of electricity access (ESP/Grid), while the top quintile boasts twice that proportion (Figure 19). Among those connected to ESP grids, 99 percent have electricity between 3 and 23 hours per day (Tier 1 or higher), but over two-thirds remain limited to basic electricity that lasts between 3 and 4 hours a day and can enable only small basic appliances (Tier 2) because of affordability challenges. This points to inefficient use of grid or mini-grid infrastructure.

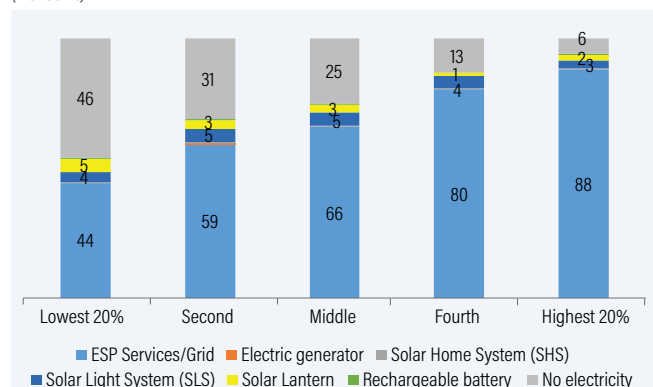
Figure 18: MTF aggregate tier distribution, by region
(Percent)



Source: MTF Survey

Figure 19: Electricity access by income quintiles

(Percent)



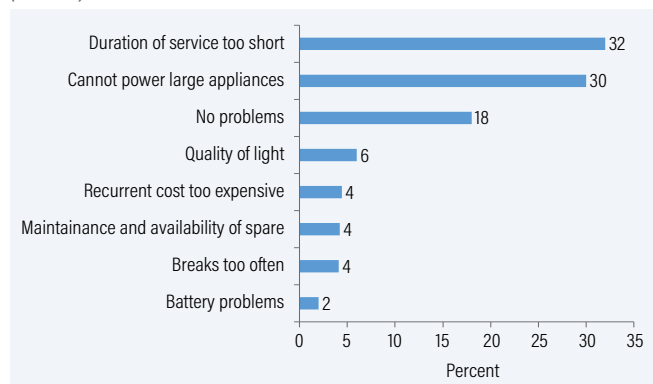
Source: MTF Survey

Nationwide, standalone solar system adoption for lighting or appliances remains low. Only about eight percent of households use solar devices—12 percent in rural areas and five percent in urban areas. Four percent rely on solar light systems, three percent on solar lanterns, and one percent on larger solar home systems (Figure 20). Most solar device users (55 percent) have very limited power availability (less than four hours a day, Tier 0).

Households using standalone systems often face major challenges, mainly due to the limited capacity of off-grid solar devices and the short supply durations (Figure 21). Among those who rely primarily on off-grid electricity, 47 percent cannot even charge mobile phones, while one-third get less than four hours of electricity per day from their systems. Most households without any connection are low-income, with 65 percent belonging to the bottom 40 percent of the expenditure quintile.

Figure 21: Issues reported by households about solar products

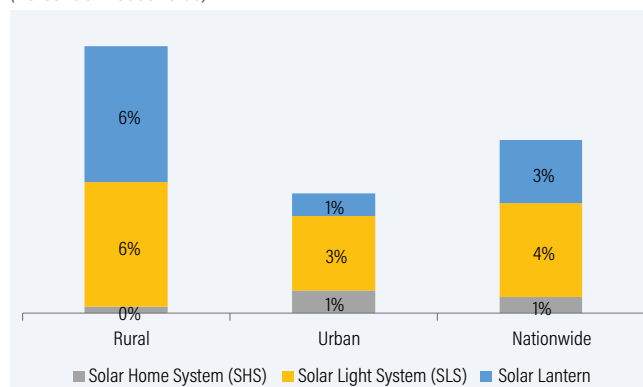
(Percent)



Source: MTF Survey

Figure 20: Distribution of households according to the type of solar systems used

(Percent of households)

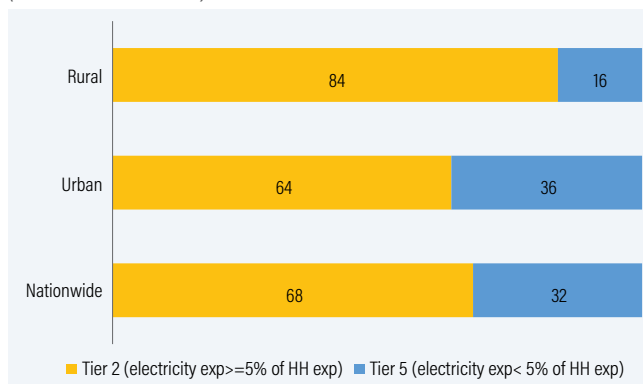


Source: MTF Survey

Affordability of electricity services is a serious concern for most households. Across the country, 68 percent of households spend at least five percent of their budget on basic electricity services, Tier 2, (Figure 22). Grid electricity in Somalia is expensive with electricity tariffs for residential consumers ranging from US\$0.48 to US\$0.90 per kWh depending on the regions and the provider. The affordability challenge is even greater in rural areas, where nearly 84 percent of households pay five percent or more of their budget for electricity, compared to 64 percent in urban areas. Affordability remains the top concern for households: 59 percent of them report electricity cost as the most important issue. This high expense on electricity access is putting pressure on household budgets, squeezing household spending on other essentials like food, health, and education, especially for rural households. In addition, energy reliability, mostly voltage fluctuations and unpredictable interruptions remain another significant concern, with 21 percent of households flagging it as an issue.

Figure 22: Household distribution by affordability tier

(Percent of households)



Source: MTF Survey

Supply availability is generally sufficient in urban areas, for households with higher quality access, and in the evenings. Approximately 72 percent of households nationwide with Tier 5 access to electricity receive more than 22 hours of supply per day, while 84 percent benefit from evening supply for at least four hours. In contrast, supply constraints are notable in rural communities, where one quarter of households experience less than eight hours of electricity per day (Figures 23 & 24). Across the country, households face between four and 14 unscheduled outages, or fewer than four hours per week, each lasting over two hours.

Opportunities to Revamp the Electricity Sector

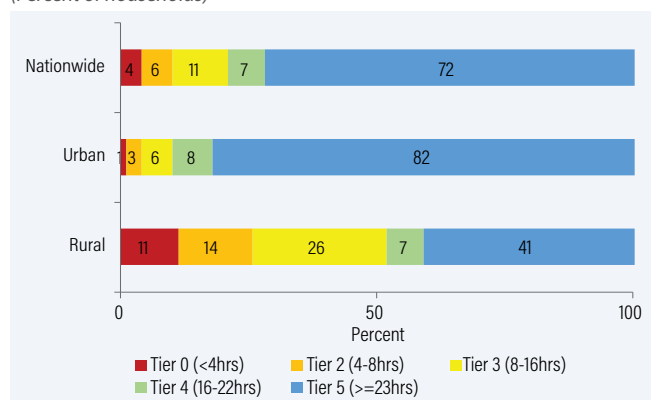
Mission 300 initiative¹⁶ offers Somalia a structured pathway to address its electricity sector challenges through a country-led Energy Compact that integrates infrastructure investment, financing, and policy reform. Central to this effort is harnessing the dynamism of Somalia's private ESPs by creating the conditions for them to scale up investments in renewable energy and interconnect their fragmented mini-grids. At the same time, Mission 300 recognizes that private-sector-led growth can only be sustained within a well-functioning regulatory environment: It places strong emphasis on strengthening the public sector's capacity to govern the electricity sector effectively — including operationalizing the National Electricity Authority under the newly enacted

Electricity Act. By combining private sector energy and capital with a strengthened public regulation, Mission 300 can help Somalia move toward a more affordable, reliable, and sustainable electricity sector that serves all of its population, including the rural and nomadic communities currently left furthest behind.

In this context, this report recommends several key reforms to strengthen electricity sector's governance and policy framework and to undertake priority investments. The recommended reform path prioritizes rules, planning, and credibility before scaling up. In the short term (0—12 months), the focus is on strengthening electricity sector governance to reduce regulatory uncertainty, regularize existing providers, and create a predictable environment for private investment. In parallel, early investments should target least-cost renewable generation, hybridization of diesel systems, and public service electrification to deliver quick, visible gains. In the medium to longer term, reforms should deepen by institutionalizing least-cost planning as national policy, enabling lower cost power production and imports. These policies will enable scaled investments in networks, off-grid access, and cross-border interconnections, ensuring that capital deployment follows clear rules and credible plans. The outcome is to provide more affordable, reliable, and sustainable energy to Somali citizens over the long-term.

Figure 23: Household tier distribution by daytime availability

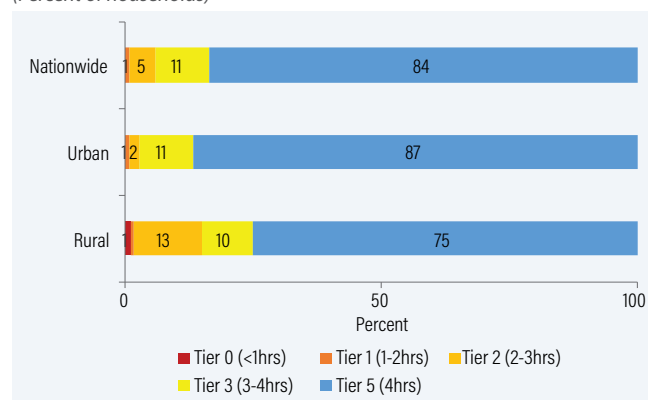
(Percent of households)



Source: MTF Survey

Figure 24: Household tier distribution by evening availability

(Percent of households)



Source: MTF Survey

¹⁶ Mission 300 initiative is a joint commitment by the World Bank Group and the African Development Bank to provide electricity access to 300 million people in Africa by 2030. It represents a massive shift from traditional incremental electrification to a large-scale, private sector led approach focused on distributed renewable energy, such as mini-grids and solar home systems.

Strengthening electricity sector's governance and policy framework

Short Term

- **Operationalize the Electricity Act through secondary regulation by NEA.** Priority should be given to issuing and enforcing licensing, tariff, service quality, and grid access regulations aligned with the Electricity Act and ESI, encouraging the consolidation of operators, the interconnection of mini-grids, and the emergence of an integrated national electricity system. Simplified, fast-track licensing should be adopted to regularize existing ESPs, with minimum obligations on service quality and customer service. Standardized operational and financial reporting requirements should be introduced to support evidence-based regulation, alongside publication of technical codes, compliance procedures, and enforcement protocols.
- **Establish a clear policy framework for distributed renewable energy and mini-grids.** Dedicated regulations for mini-grids and standalone solar systems should be finalized, including standardized licensing tiers, simplified permitting, tariff rules, quality standards, and consumer protection provisions. Clear “grid-arrival” rules should be adopted to manage compensation or integration as the main grid expands. National technical standards for interconnection, safety, metering, and equipment quality should be published to ensure system compatibility and protect consumers.
- **Strengthen consumer protection and affordability safeguards.** Early and visible consumer protection measures are essential to building trust in nascent sector institutions. These include balancing cost-reflective tariffs with affordability through targeted subsidies (such as connection support and lifeline tariffs). These also include efficiency-driven cost reductions, as well as enforcing transparent disclosure, warranties, and after-sales service standards for standalone solar products to protect households and micro and small enterprises.

- **Strengthen MoEWR's planning, legal, and regulatory stewardship.** A capable ministry is essential for coherent policy direction and coordination. Priority actions include resourcing and capacitating planning, legal, and regulatory units to drive least-cost implementation, tariff modelling, market analysis, renewable integration studies, and utility benchmarking. Institutionalizing the Energy Sector Working Group can support structured dialogue, data sharing, and joint planning across federal and state institutions, regulators, ESPs, development partners, and civil society.

Medium Term

- **Embed least-cost planning and public-private partnership framework in national policy and targets.** Least-cost planning is crucial for prioritizing key investments and reducing system costs over time by preventing inefficient and high-cost investments. The Optimized Cost Electricity Generation and Transmission Development Plan should serve as the central roadmap to 2045, prioritizing renewable energy sources with fossil generation used only as transitional reliability support. Power master plans and electrification studies should be formally adopted as national policy, with electrification and capacity targets linked to budget cycles and subject to periodic review to maintain policy credibility. A framework for public-private partnership will help establish an enabling environment for sharing investment risks and mobilizing long-term private capital while ensuring prudent fiscal oversight of future commitments.
- **Codify regional electricity market participation.** Clear legal and regulatory provisions for cross-border power trade should be operationalized to enable access to lower cost electricity imports. This includes approvals for cross-border power purchase agreements, wheeling arrangements, tariffs, and currency and payment risk management mechanisms, as well as alignment of national grid codes and market rules with regional standards and protocols.

Priority investments

Medium Term

- **Least-cost generation with storage and flexible backup.** Investments should prioritize utility scale solar photovoltaic and wind generation close to major load centers, complemented by battery energy storage systems and flexible backup generation to ensure reliability. Hybridization of existing diesel mini-grids with solar and storage should be supported to displace fuel consumption and reduce operating costs during the transition. Investments should be supported by blended finance and results-based financing to scale verified connections and service quality.
- **Public service electrification and visible quick wins.** Scaling electrification of schools, health clinics, water systems, and other public facilities can deliver immediate socio economic benefits and build public confidence in sector reforms. Standardized system designs, pooled procurement, and coordination with sector ministries can accelerate deployment, while systematic tracking and communication of outcomes can reinforce public and investor support.
- **Distribution and sub-transmission backbones.** Modernization and expansion of distribution and sub-transmission networks are critical to reducing losses, improving reliability, and enabling integration of renewable energy. Priority investments include conductor upgrades, transformers, protection systems, voltage standardization, advanced metering, and loss reduction programs, alongside modular development of sub-transmission corridors to interconnect isolated urban systems and mini-grids and prepare for future regional trade.
- **Cross-border interconnections and import readiness.** Planning and phased development of regional interconnections should prioritize high impact corridors, supported by domestic sub-transmission and substations to absorb imports. Modular buildout approaches and bankable risk mitigation frameworks can allow imports to scale gradually as demand, grid strength, and institutional capacity grow.

ANNEX 1: SAMPLING STRATEGY FOR THE HOUSEHOLD ENERGY SURVEY

The Household Energy survey in Somalia used a two-stage stratified sampling approach, with samples randomly selected based on locality (rural and urban) and grid/mini-grid connection status to ensure accurate representation of the population. The sampling approach included calculating the sample size, selecting enumeration areas (EAs), conducting a listing activity to collect households' grid connection status, and sampling according to the status. First, the sample size was calculated to achieve statistical significance at the national, rural, and urban level, using the following formula and the values.

$$n = \frac{z^2 q(1-q)fk}{e^2} = \frac{z^2 q(1-q)[1 + \rho(m-1)]k}{e^2}$$

Table A1: Sample size of calculation

Symbol	Value	Description
q	0.5	Conservative prevalence of the indicator of interest
z	1.96	The critical value of the normal distribution at a 95 percent level of confidence
e	7.5%	The margin of error
f	9.55	Sample design effect. It represents how much larger the squared standard error of a two-stage sample is when compared with the squared standard error of a simple random sample of the same size. The sample design effect is defined as $f = 1 + \rho(m - 1)$.
k	1.05	Factor accounting for non-response (assume 5 percent)
m	20	The average number of households selected per Enumeration Area (EA)
ρ	0.45	Intra-cluster correlation coefficient. It is a number that measures the tendency of households within the same cluster to behave alike concerning the variable of interest. Usually ranges from 0.01 to 0.10 for the LSMS Surveys, but it can be 0.5 or larger for infrastructure-related variables.
n	1,712	The sample size for each geographical stratum (urban/rural).

The formula yielded a sample size of 1,712 households per geographical stratum (rural/urban), resulting in a national sample size of 3,424 households. The household sample was then distributed across the regions of Somalia by urban and rural strata, with allocations proportional to the 2022 projected population. The number of households per stratum for each region was calculated using the standard proportional allocation formula:

$$n_{(a,i)} = \frac{n_i N_{(a,i)}}{N_a}$$

Where N_a is the national population for the stratum, $N_{(a,i)}$ is the stratum population for region i , and n_i is the national sample size per stratum (1,712 households for urban and rural).

The first-stage sample involved selecting EAs from which households were drawn, with an average of 20 households per EA. The selection of EAs for the survey was conducted by Somali National Bureau of Statistics (SNBS) using the Somalia Health and Demographic Survey (SHDS) 2020 sampling frame, updated in 2022 for the Integrated Household Budget Survey. The national frame comprised 9,136 EAs, including 7,308 urban and 1,828 rural EAs. Due to security and access constraints, particularly in southern regions, the region of Middle Jubba was entirely excluded and a few urban and many rural EAs were deactivated and excluded from the sampling pool.

A household listing activity followed, during which all households within the selected EAs were visited to determine their electrification status based on a connection to the grid/mini-grid. The final selection of households was implemented as follows:

- If all households in EA were either electrified or non-electrified, 20 households were randomly selected.
- For EAs containing both grid-connected and non-grid-connected households, where each category had more than 10 households, 10 households were randomly selected from each category.
- If an EA had fewer than 10 grid-connected households, all available grid-connected households were selected, and the remaining households were randomly chosen from non-grid-connected households to reach the target of 20 households. The same procedure would be applied if there were fewer than 10 non-electrified households.

Following this methodology, the survey interviewed a nationally representative sample of 3,098 households.

Sampling Weight Calculation

As noted earlier, the survey used a two-stage stratified random sampling design to ensure sufficient sample size for analysis. Although the sample was allocated according to regional population sizes, the same proportional allocation was not applied to rural versus urban areas or to electrified versus unelectrified populations. As a result, certain groups may be over or underrepresented relative to their actual share of the population. To address this, sample weights were calculated to ensure that the results are representative of the population.

The first stage weights were calculated at the enumeration area (EA) level, defined as the inverse of the probability of selecting an EA from a sampling stratum, that is the rural or urban area per region.

$$w_{i(R,U)} = \frac{1}{P_{i(R,U)}}$$

Where $P_{i(R,U)}$ is the probability of selecting a rural or urban EA in region i , and is defined as the ratio of the population of selected EAs n_i to the total population N_i for each rural and urban area in region i

$$P_{i(R,U)} = \frac{n_{i(R,U)}}{N_{i(R,U)}} \text{ so } w_{i(R,U)} = \frac{N_{i(R,U)}}{n_{i(R,U)}}$$

The second stage weights were assigned at the household level and are the inverse of the probability of selecting a household h from the EA e . The electrification status of the EA was also considered. If the EA is fully electrified or non-electrified, the weights, w_{he} were calculated as

$$w_{he} = \frac{1}{P_{he}} = \frac{\text{Number of households listed in the EA } e}{\text{Number of households selected from the EA } e}$$

If an EA had both electrified and non-electrified households, weights were calculated for each type.

For the electrified households,

$$w_{he} = \frac{1}{P_{he}} = \frac{\text{Number of electrified households listed in the EA } e}{\text{Number of electrified households selected from the EA } e}$$

For the non-electrified households,

$$w_{he} = \frac{1}{P_{he}} = \frac{\text{Number of non – electrified households listed in the EA } e}{\text{Number of non – electrified households selected from the EA } e}$$

The household weights for a household in EA e , w_h are calculated by multiplying the first stage and second-stage weights:

$$w_h = w_e * w_{he}$$

Non-Response Adjustment: As observed in most surveys, the calculated sample size tends to differ from the total number of interviews completed since not all selected respondents were available or agreed to participate. The weights were therefore adjusted to account for this non-response rate at the EA and household levels.

At the EA level, the response rate R_e was taken as the ratio of the number of EAs where interviews were successfully completed, n^* , to the total number of selected EAs, n :

$$R_e = \frac{n^*}{n}$$

At the household level, the response rate for households within the EA R_{eh} , was calculated as:

$$R_{eh} = \frac{\sum w_e \times m^*}{\sum w_e \times m}$$

Where m^* is the number of households successfully interviewed, and m is the total number of households selected in EA e .

The final household sampling weights were adjusted to account for non-response at both the EA and household levels:

$$\text{Final Weights} = \frac{w_h}{R_e \times R_{eh}}$$

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